

TATA CONSULTANCY SERVICES LIMITED
Standalone Interim Balance Sheet

Note	(₹ crore)	
	As at June 30, 2026	As at March 31, 2026
ASSETS		
Non-current assets		
Property, plant and equipment	8(a) 8,510	8,259
Capital work-in-progress	8(a) 2,454	2,402
Right-of-use assets	7 9,137	9,245
Intangible assets	8(b) 178	206
Financial assets		
Investments	6(a) 11,181	11,181
Trade receivables		
Billed	6(b) 274	99
Unbilled	118	102
Loans	6(e) 2	752
Other financial assets	6(f) 910	1,160
Deferred tax assets (net)	14 3,360	3,452
Income tax assets (net)	780	714
Other assets	8(c) 1,171	1,426
Total non-current assets	38,075	38,998
Current assets		
Inventories	8(d) 27	29
Financial assets		
Investments	6(a) 28,719	29,909
Trade receivables		
Billed	6(b) 51,105	48,892
Unbilled	8,125	8,084
Cash and cash equivalents	6(c) 2,071	1,833
Other balances with banks	6(d) 5,745	2,953
Loans	6(e) 1,579	1,704
Other financial assets	6(f) 1,999	1,650
Income tax assets (net)	297	1,224
Other assets	8(c) 14,025	13,992
Total current assets	1,13,692	1,10,270
TOTAL ASSETS	1,51,767	1,49,268
EQUITY AND LIABILITIES		
Equity		
Share capital	6(l) 362	362
Other equity	87,035	84,314
Total equity	87,397	84,676
Liabilities		
Non-current liabilities		
Financial liabilities		
Lease liabilities	8,143	8,077
Other financial liabilities	6(g) 454	489
Employee benefit obligations	11 207	200
Deferred tax liabilities (net)	14 287	258
Unearned and deferred revenue	159	608
Total non-current liabilities	9,250	9,632
Current liabilities		
Financial liabilities		
Lease liabilities	1,190	1,277
Trade payables		
Dues of small enterprises and micro enterprises	162	137
Dues of creditors other than small enterprises and micro enterprises	18,516	17,962
Other financial liabilities	6(g) 6,419	8,452
Unearned and deferred revenue	3,909	3,660
Other liabilities	8(e) 5,473	4,454
Provisions	8(f) 204	1,146
Employee benefit obligations	11 4,318	4,144
Income tax liabilities (net)	14,929	13,728
Total current liabilities	55,120	54,960
TOTAL EQUITY AND LIABILITIES	1,51,767	1,49,268

NOTES FORMING PART OF STANDALONE INTERIM FINANCIAL STATEMENTS

As per our report of even date attached

For and on behalf of the Board

For **B S R & Co. LLP**
Chartered Accountants
Firm's registration no: 101248W/W-100022

K Krithivasan
CEO and Managing Director
DIN: 10106739

Aarthi Subramanian
Executive Director - President and COO
DIN: 07121802

Aniruddha Godbole
Partner
Membership No: 105149
Mumbai, July 9, 2026

Samir Seksaria
CFO
Mumbai, July 9, 2026

Yashaswin Sheth
Company Secretary

TATA CONSULTANCY SERVICES LIMITED
Standalone Interim Statement of Profit and Loss

		(₹ crore)	
	Note	Three months ended June 30, 2026	Three months ended June 30, 2025
Revenue from operations	9	59,553	52,788
Other income	10	3,406	2,703
TOTAL INCOME		62,959	55,491
Expenses			
Employee benefit expenses	11	30,058	27,640
Cost of equipment and software licences	12(a)	1,095	623
Finance costs	13	247	171
Depreciation and amortisation expense		915	1,103
Other expenses	12(b)	12,267	9,768
TOTAL EXPENSES		44,582	39,305
PROFIT BEFORE EXCEPTIONAL ITEM AND TAX		18,377	16,186
Exceptional item			
Settlement of legal claim	17	668	-
PROFIT BEFORE TAX		17,709	16,186
Tax expense			
Current tax	14	4,099	3,660
Deferred tax	14	(32)	(26)
TOTAL TAX EXPENSE		4,067	3,634
PROFIT FOR THE PERIOD		13,642	12,552
OTHER COMPREHENSIVE INCOME (OCI)			
Items that will not be reclassified subsequently to profit or loss			
Remeasurement of defined employee benefit plans		(215)	(1)
Income tax on items that will not be reclassified subsequently to profit or loss		54	-
Items that will be reclassified subsequently to profit or loss			
Net change in fair values of investments other than equity shares carried at fair value through OCI		538	207
Net change in intrinsic value of derivatives designated as cash flow hedges		76	9
Net change in time value of derivatives designated as cash flow hedges		(5)	(40)
Income tax on items that will be reclassified subsequently to profit or loss		(153)	(44)
TOTAL OTHER COMPREHENSIVE INCOME / (LOSSES)		295	131
TOTAL COMPREHENSIVE INCOME FOR THE PERIOD		13,937	12,683
Earnings per equity share:- Basic and diluted (₹)	15	37.70	34.69
Weighted average number of equity shares		361,80,87,518	361,80,87,518

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TATA CONSULTANCY SERVICES LIMITED
Standalone Interim Statement of Changes in Equity

A. EQUITY SHARE CAPITAL

(₹ crore)

Balance as at April 1, 2026	Changes in equity share capital due to prior period errors	Restated balance as at April 1, 2026	Changes in equity share capital during the period	Balance as at June 30, 2026
362	-	362	-	362

(₹ crore)

Balance as at April 1, 2025	Changes in equity share capital due to prior period errors	Restated balance as at April 1, 2025	Changes in equity share capital during the period	Balance as at June 30, 2025
362	-	362	-	362

TATA CONSULTANCY SERVICES LIMITED
Standalone Interim Statement of Changes in Equity

B. OTHER EQUITY

	Reserves and surplus				Items of other comprehensive income			(₹ crore)
	Capital reserve*	Capital redemption reserve	Special Economic Zone re-investment reserve	Retained earnings	Investment revaluation reserve	Cash flow hedging reserve		Total equity
						Intrinsic value	Time value	
Balance as at April 1, 2026	-	21	-	84,329	(14)	2	(24)	84,314
Changes in accounting policy / prior period errors	-	-	-	-	-	-	-	-
Restated balance as at April 1, 2026	-	21	-	84,329	(14)	2	(24)	84,314
Profit for the period	-	-	-	13,642	-	-	-	13,642
Other comprehensive income / (losses)	-	-	-	(161)	403	57	(4)	295
Total comprehensive income	-	-	-	13,481	403	57	(4)	13,937
Dividend	-	-	-	(11,216)	-	-	-	(11,216)
Balance as at June 30, 2026	-	21	-	86,594	389	59	(28)	87,035
Balance as at April 1, 2025	-	21	1,085	73,380	784	9	(24)	75,255
Changes in accounting policy / prior period errors	-	-	-	-	-	-	-	-
Restated balance as at April 1, 2025	-	21	1,085	73,380	784	9	(24)	75,255
Profit for the period	-	-	-	12,552	-	-	-	12,552
Other comprehensive income / (losses)	-	-	-	(1)	155	7	(30)	131
Total comprehensive income	-	-	-	12,551	155	7	(30)	12,683
Dividend	-	-	-	(10,854)	-	-	-	(10,854)
Transfer from Special Economic Zone re-investment reserve	-	-	(1,085)	1,085	-	-	-	-
Balance as at June 30, 2025	-	21	-	76,162	939	16	(54)	77,084

*Represents value less than ₹0.50 crore.

Loss of ₹161 crore and ₹1 crore on remeasurement of defined employee benefit plans (net of tax) is recognised as a part of retained earnings for three months ended June 30, 2026 and 2025, respectively.

TATA CONSULTANCY SERVICES LIMITED
Standalone Interim Statement of Changes in Equity

Nature and purpose of reserves

(a) Capital reserve

The Company recognises profit and loss on purchase, sale, issue or cancellation of the Company's own equity instruments to capital reserve.

(b) Capital redemption reserve

As per Companies Act, 2013, capital redemption reserve is created when company purchases its own shares out of free reserves or securities premium. A sum equal to the nominal value of the shares so purchased is transferred to capital redemption reserve. The reserve is utilised in accordance with the provisions of section 69 of the Companies Act, 2013.

(c) Special Economic Zone re-investment reserve

The Special Economic Zone (SEZ) re-investment reserve is created out of the profit of eligible SEZ units in terms of the provisions of section 10AA(1)(ii) of the Income-tax Act, 1961. The reserve will be utilised by the Company for acquiring new assets for the purpose of its business as per the terms of section 10AA(2) of Income-tax Act, 1961.

(d) Retained earnings

This reserve represents undistributed accumulated earnings of the Company as on the balance sheet date.

(e) Investment revaluation reserve

This reserve represents the cumulative gains and losses arising on the revaluation of equity and debt instruments on the balance sheet date measured at fair value through other comprehensive income. The reserves accumulated will be reclassified to retained earnings and statement of profit and loss respectively, when such instruments are disposed.

(f) Cash flow hedging reserve

The cash flow hedging reserve represents the cumulative effective portion of gains or losses arising on changes in fair value of designated portion of hedging instruments entered into for cash flow hedges. Such gains or losses will be reclassified to statement of profit and loss in the period in which the underlying hedged transaction occurs.

NOTES FORMING PART OF STANDALONE INTERIM FINANCIAL STATEMENTS

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Partner
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Mumbai, July 9, 2026

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CFO
Mumbai, July 9, 2026

Yashaswin Sheth
Company Secretary

TATA CONSULTANCY SERVICES LIMITED
Standalone Interim Statement of Cash Flows

	(₹ crore)	
	Three months ended June 30, 2026	Three months ended June 30, 2025
CASH FLOWS FROM OPERATING ACTIVITIES		
Profit for the period	13,642	12,552
Adjustments for:		
Depreciation and amortisation expense	915	1,103
Bad debts and advances written off, allowance for expected credit losses and doubtful advances (net)	74	36
Provision towards legal claim (Refer note 17)	131	-
Tax expense	4,067	3,634
Net gain on lease modification	-	(2)
Net gain on sub-lease	(2)	-
Unrealised foreign exchange gain	(21)	(52)
Net gain on disposal of property, plant and equipment	(8)	(7)
Net gain on disposal / fair valuation of investments	(132)	(118)
Interest income	(669)	(1,315)
Dividend income (including exchange impact)	(1,969)	(1,120)
Finance costs	247	171
Operating profit before working capital changes	16,275	14,882
Net change in		
Inventories	2	(4)
Trade receivables		
Billed	(2,461)	(2,751)
Unbilled	(57)	120
Loans and other financial assets	(1,105)	(725)
Other assets	161	(563)
Trade payables	579	501
Unearned and deferred revenue	(200)	(323)
Other financial liabilities	(1,903)	(185)
Other liabilities and provisions	(88)	1,145
Cash flows generated from operations	11,203	12,097
Taxes paid (net of refunds)	(1,983)	(1,841)
Net cash flows generated from operating activities	9,220	10,256
CASH FLOWS FROM INVESTING ACTIVITIES		
Bank deposits placed	(3,600)	-
Inter-corporate deposits placed	(25)	(750)
Purchase of investments	(38,443)	(30,011)
Payment for purchase of property, plant and equipment	(578)	(656)
Payment including advances for acquiring right-of-use assets	(1)	(30)
Payment for purchase of intangible assets	(3)	(24)
Acquisition of subsidiaries	-	(554)
Proceeds from bank deposits	1,888	1,980
Proceeds from disposal / redemption of investments (including reverse repo (net))	41,257	28,419
Proceeds from sub-lease receivable	5	1
Proceeds from disposal of property, plant and equipment	24	8
Interest received	692	804
Dividend received from subsidiaries	1,969	1,120
Net cash flows generated from investing activities	3,185	307

TATA CONSULTANCY SERVICES LIMITED
Standalone Interim Statement of Cash Flows

	(₹ crore)	
	Three months ended June 30, 2026	Three months ended June 30, 2025
CASH FLOWS FROM FINANCING ACTIVITIES		
Repayment of lease liabilities ¹	(365)	(295)
Interest paid	(605)	(151)
Dividend paid	(10,140)	(9,778)
Transfer of funds to dividend escrow account ²	(1,076)	(1,076)
Net cash flows used in financing activities	(12,186)	(11,300)
Net change in cash and cash equivalents	219	(737)
Cash and cash equivalents at the beginning of the period	1,833	2,610
Exchange difference on translation of foreign currency cash and cash equivalents	19	83
Cash and cash equivalents at the end of the period	2,071	1,956
<u>Components of cash and cash equivalents</u>		
Balances with banks		
In current accounts	1,035	1,384
In deposit accounts	1,032	569
Cheques on hand	-*	-*
Cash on hand	-	-*
Remittances in transit	4	3
	2,071	1,956

*Represents value less than ₹0.50 crore.

¹ Changes in lease liabilities including both changes arising from cash flows and non-cash changes are given in note 7.

² Tax deducted at source on dividend payment which has been subsequently discharged as per the timelines prescribed under Income-tax Act, 2025.

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TATA CONSULTANCY SERVICES LIMITED
Notes forming part of standalone interim financial statements

1) Corporate information

Tata Consultancy Services Limited (referred to as “TCS Limited” or “the Company”) provides IT services, consulting and business solutions and has been partnering with many of the world’s largest businesses in their transformation journeys. The Company offers a consulting-led, cognitive powered, integrated portfolio of IT, business and engineering services and solutions. This is delivered through its unique Location-Independent Agile delivery model recognised as a benchmark of excellence in software development.

The Company is a public limited company incorporated and domiciled in India. The address of its corporate office is TCS House, Raveline Street, Fort, Mumbai - 400001. As at June 30, 2026, Tata Sons Private Limited, the holding company owned 71.74% of the Company’s equity share capital.

The Board of Directors approved the standalone interim financial statements for three months ended June 30, 2026 and authorised for issue on July 9, 2026.

2) Statement of compliance

These standalone interim financial statements have been prepared in accordance with the Indian Accounting Standard (Ind AS), including the requirements of Ind AS 34 - Interim Financial Reporting, as prescribed under section 133 of the Companies Act, 2013 read with the Companies (Indian Accounting Standards) Rules as amended from time to time.

3) Basis of preparation

These standalone interim financial statements have been prepared on historical cost basis except for certain financial instruments and defined benefit plans which are measured at fair value or amortised cost at the end of each reporting period. Historical cost is generally based on the fair value of the consideration given in exchange for goods and services. Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. All assets and liabilities have been classified as current and non-current as per the Company’s normal operating cycle. Based on the nature of services rendered to customers and time elapsed between deployment of resources and the realisation in cash and cash equivalents of the consideration for such services rendered, the Company has considered an operating cycle of 12 months.

The statement of cash flows has been prepared under indirect method, whereby profit or loss is adjusted for the effects of transactions of a non-cash nature, any deferrals or accruals of past or future operating cash receipts or payments and items of income or expense associated with investing or financing cash flows. The cash flows from operating, investing and financing activities of the Company are segregated. The Company considers all highly liquid investments that are readily convertible to known amounts of cash and which are subject to an insignificant risk of changes in value to be cash equivalents.

These standalone interim financial statements have been prepared in Indian Rupee (₹) which is the functional currency of the Company. Foreign currency transactions are recorded at exchange rates prevailing on the date of the transaction. Foreign currency denominated monetary assets and liabilities are retranslated at the exchange rate prevailing on the balance sheet dates and exchange gains and losses arising on settlement and restatement are recognised in the statement of profit and loss. Non-monetary assets and liabilities that are measured in terms of historical cost in foreign currencies are not retranslated.

The material accounting policy information related to preparation of the standalone interim financial statements have been discussed in the respective notes.

4) Use of estimates and judgements

The preparation of standalone interim financial statements in conformity with the recognition and measurement principles of Ind AS requires management of the Company to make estimates and judgements that affect the reported balances of assets and liabilities, disclosures of contingent liabilities as at the date of standalone interim financial statements and the reported amounts of income and expenses for the periods presented.

Estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the period in which the estimates are revised and future periods are affected.

TATA CONSULTANCY SERVICES LIMITED
Notes forming part of standalone interim financial statements

The Company uses the following critical accounting judgements, estimates and assumptions in preparation of its standalone interim financial statements:

(a) Revenue recognition

Revenue for fixed-price contracts is recognised using percentage-of-completion method. The Company estimates the future cost-to-completion of the contracts which is used to determine degree of completion of the performance obligation.

The Company exercises judgement for identification of performance obligations, determination of transaction price, ascribing the transaction price to each distinct performance obligation and in determining whether the performance obligation is satisfied at a point in time or over a period of time. These judgements have been explained in detail under the revenue recognition note (Refer note 9).

(b) Useful lives of property, plant and equipment

The Company reviews the useful life of property, plant and equipment at the end of each reporting period. This reassessment may result in change in depreciation expense in future periods (Refer note 8(a)).

(c) Impairment of investments in subsidiaries

The Company reviews its carrying value of investments carried at cost (net of impairment, if any) annually, or more frequently when there is indication for impairment. If the recoverable amount is less than its carrying amount, the impairment loss is accounted for in the statement of profit and loss.

(d) Fair value measurement of financial instruments

When the fair value of financial assets and financial liabilities recorded in the balance sheet cannot be measured based on quoted prices in active markets, their fair value is measured using valuation techniques including the Discounted Cash Flow model. The inputs to these models are taken from observable markets where possible, but where this is not feasible, a degree of judgement is required in establishing fair values. Judgements include considerations of inputs such as liquidity risk, credit risk and volatility. Changes in assumptions about these factors could affect the reported fair value of financial instruments.

(e) Impairment of financial assets (other than at fair value)

Measurement of impairment of financial assets require use of estimates, which have been explained in the note on financial assets, financial liabilities and equity instruments, under impairment of financial assets (other than at fair value) (Refer note 6).

(f) Deferred tax assets

A deferred tax asset is recognised to the extent that it is probable that future taxable profit will be available against which the deductible temporary differences and tax losses can be utilised. Accordingly, the Company exercises its judgement to reassess the carrying amount of deferred tax assets at the end of each reporting period.

(g) Provisions and contingent liabilities

The Company estimates the provisions that have present obligations as a result of past events and it is probable that outflow of resources will be required to settle the obligations. These provisions are reviewed at the end of each reporting period and are adjusted to reflect the current best estimates.

The Company uses significant judgements to assess contingent liabilities. Contingent liabilities are disclosed when there is a possible obligation arising from past events, the existence of which will be confirmed only by the occurrence or non-occurrence of one or more uncertain future events not wholly within the control of the Company or a present obligation that arises from past events where it is either not probable that an outflow of resources will be required to settle the obligation or a reliable estimate of the amount cannot be made. Contingent assets are neither recognised nor disclosed in the standalone interim financial statements.

(h) Employee benefits

The accounting of employee benefit plans in the nature of defined benefit requires the Company to use assumptions. These assumptions have been explained under employee benefits note (Refer note 11).

TATA CONSULTANCY SERVICES LIMITED
Notes forming part of standalone interim financial statements

(i) Leases

The Company evaluates if an arrangement qualifies to be a lease as per the requirements of Ind AS 116. Identification of a lease requires significant judgement. The Company uses significant judgement in assessing the lease term (including anticipated renewals) and the applicable discount rate.

The Company determines the lease term as the non-cancellable period of a lease, together with both periods covered by an option to extend the lease if the Company is reasonably certain to exercise that option; and periods covered by an option to terminate the lease if the Company is reasonably certain not to exercise that option. In assessing whether the Company is reasonably certain to exercise an option to extend a lease, or not to exercise an option to terminate a lease, it considers all relevant facts and circumstances that create an economic incentive for the Company to exercise the option to extend the lease, or not to exercise the option to terminate the lease. The Company revises the lease term if there is a change in the non-cancellable period of a lease.

The discount rate is generally based on the incremental borrowing rate specific to the lease being evaluated or for a portfolio of leases with similar characteristics.

5) Recent pronouncements

Ministry of Corporate Affairs ("MCA") notifies new standards or amendments to the existing standards under Companies (Indian Accounting Standards) Rules as issued from time to time. During three months ended June 30, 2026, MCA has not notified any new standards or amendments to the existing standards applicable to the Company.

6) Financial assets, financial liabilities and equity instruments

Financial assets and liabilities are recognised when the Company becomes a party to the contractual provisions of the instrument. Financial assets and liabilities are initially measured at fair value, except for trade receivables which are initially measured at transaction price. Transaction costs that are directly attributable to the acquisition or issue of financial assets and financial liabilities (other than financial assets and financial liabilities at fair value through profit or loss) are added to or deducted from the fair value measured on initial recognition of financial asset or financial liability.

The Company derecognises a financial asset only when the contractual rights to the cash flows from the asset expire, or when it transfers the financial asset and substantially all the risks and rewards of ownership of the asset to another entity. The Company derecognises financial liabilities when, and only when, the Company's obligations are discharged, cancelled or have expired.

Cash and cash equivalents

The Company considers all highly liquid investments, which are readily convertible into known amounts of cash that are subject to an insignificant risk of change in value, to be cash equivalents. Cash and cash equivalents consist of balances with banks and which are unrestricted for withdrawal and usage.

Financial assets at amortised cost

Financial assets are subsequently measured at amortised cost if these financial assets are held within a business whose objective is to hold these assets in order to collect contractual cash flows and the contractual terms of the financial assets give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding.

Financial assets at fair value through other comprehensive income

Financial assets are measured at fair value through other comprehensive income if these financial assets are held within a business whose objective is achieved by both collecting contractual cash flows on specified dates that are solely payments of principal and interest on the principal amount outstanding and selling financial assets.

The Company has made an irrevocable election to present subsequent changes in the fair value of equity investments not held for trading in other comprehensive income.

TATA CONSULTANCY SERVICES LIMITED
Notes forming part of standalone interim financial statements

Financial assets at fair value through profit or loss

Financial assets are measured at fair value through profit or loss unless they are measured at amortised cost or at fair value through other comprehensive income on initial recognition. The transaction costs directly attributable to the acquisition of financial assets and liabilities at fair value through profit or loss are immediately recognised in statement of profit and loss.

Investment in subsidiaries

Investment in subsidiaries are measured at cost less impairment loss, if any.

Financial liabilities

Financial liabilities are measured at amortised cost using the effective interest method except for deferred consideration recognised in a business combination which is subsequently measured at fair value through profit and loss.

Equity instruments

An equity instrument is a contract that evidences residual interest in the assets of the company after deducting all of its liabilities. Equity instruments issued by the Company are recognised at the proceeds received net of direct issue cost.

Derivative accounting

• **Instruments in hedging relationship**

The Company designates certain foreign exchange forward, currency options and futures contracts as hedge instruments in respect of foreign exchange risks. These hedges are accounted for as cash flow hedges.

The Company uses hedging instruments that are governed by the financial risk management policy as approved by the Risk Management Committee. The policy provides principles on the use of such financial derivatives consistent with the risk management strategy of the Company. While determining the appropriate hedge ratio, the Company takes into consideration the prevailing macro-economic conditions, the availability and liquidity of the hedging instruments, tolerance levels for hedge ineffectiveness and the costs of hedging. The hedging activities are reviewed by the Risk Management Committee every quarter and future course of action is determined.

The hedge instruments are designated and documented as hedges at the inception of the contract. The Company determines the existence of an economic relationship between the hedging instrument and hedged item based on the currency, amount and timing of their respective cash flows. The effectiveness of hedge instruments to reduce the risk associated with the exposure being hedged is assessed and measured at inception and on an ongoing basis. If the hedged future cash flows are no longer expected to occur, then the amounts that have been accumulated in other equity are immediately reclassified in net foreign exchange gains in the statement of profit and loss.

The effective portion of change in the fair value of the designated hedging instrument is recognised in the other comprehensive income and accumulated under the heading cash flow hedging reserve.

The Company separates the intrinsic value and time value of an option and designates as hedging instruments only the change in intrinsic value of the option. The change in fair value of the intrinsic value and time value of an option is recognised in the other comprehensive income and accounted as a separate component of equity. Such amounts are reclassified into the statement of profit and loss when the related hedged items affect profit and loss.

Hedge accounting is discontinued when the hedging instrument expires or is sold, terminated or no longer qualifies for hedge accounting. Any gain or loss recognised in other comprehensive income and accumulated in equity till that time remains and is recognised in the statement of profit and loss when the forecasted transaction ultimately affects profit and loss. Any gain or loss is recognised immediately in the statement of profit and loss when the hedge becomes ineffective.

• **Instruments not in hedging relationship**

The Company enters into contracts that are effective as hedges from an economic perspective, but they do not qualify for hedge accounting. The change in the fair value of such instrument is recognised in the statement of profit and loss.

TATA CONSULTANCY SERVICES LIMITED
Notes forming part of standalone interim financial statements

Impairment of financial assets (other than at fair value)

The Company assesses at each date of balance sheet whether a financial asset or a group of financial assets is impaired. Ind AS 109 requires expected credit losses to be measured through a loss allowance. The Company recognises lifetime expected losses for all contract assets and / or all trade receivables that do not constitute a financing transaction. In determining the allowance for expected credit losses, the Company has used a practical expedient by computing the expected credit loss allowance for trade receivables based on a provision matrix. The provision matrix takes into account historical credit loss experience and is adjusted for forward looking information. The expected credit loss allowance is based on the ageing of the receivables that are due and allowance rates used in the provision matrix. For all other financial assets, expected credit losses are measured at an amount equal to the 12-months expected credit losses or at an amount equal to the life time expected credit losses if the credit risk on the financial asset has increased significantly since initial recognition.

(a) Investments

Investments consist of the following:

Investments – Non-current

	(₹ crore)	
	As at June 30, 2026	As at March 31, 2026
Investment in subsidiaries		
Fully paid equity shares (unquoted)	9,394	9,394
Optionally redeemable convertible debentures (unquoted)	1,576	1,576
Compulsorily convertible preference shares (unquoted)	211	211
Investments designated at fair value through OCI		
Fully paid equity shares (unquoted)		
Taj Air Limited	-	-
	11,181	11,181

The Company has adjusted the impairment on investments carried at fair value through OCI against the cost of such investments to disclose their respective fair values.

Investments – Current

	(₹ crore)	
	As at June 30, 2026	As at March 31, 2026
Investments carried at fair value through profit or loss		
Mutual fund units (quoted)	1,856	1,104
Investments carried at fair value through OCI		
Government bonds and securities (quoted)	20,273	21,450
Corporate bonds and debentures (quoted)	4,374	4,708
Investments carried at amortised cost		
Certificate of deposits (quoted)	-	1,583
Commercial papers (quoted)	2,216	1,064
	28,719	29,909

Government bonds and securities includes bonds pledged with bank for credit facility amounting to NIL and ₹2,700 crore as at June 30, 2026 and March 31, 2026, respectively.

Aggregate value of quoted and unquoted investments is as follows:

	(₹ crore)	
	As at June 30, 2026	As at March 31, 2026
Aggregate value of quoted investments	28,719	29,909
Aggregate value of unquoted investments (net of impairment)	11,181	11,181
Aggregate market value of quoted investments	28,720	29,909

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Market value of quoted investments carried at amortised cost is as follows:

	(₹ crore)	
	As at June 30, 2026	As at March 31, 2026
Certificate of deposits	-	1,583
Commercial papers	2,217	1,064

Carrying value of investment in equity instruments is as follows:

				(₹ crore)	
In numbers	Currency	Face value per share	Investment in subsidiaries	As at June 30, 2026	As at March 31, 2026
Fully paid equity shares (unquoted)					
212,27,83,424	UYU	1	TCS Iberoamerica S.A.	461	461
15,75,300	INR	10	APTOOnline Limited	-	-
1,300	EUR	-	Tata Consultancy Services Belgium	1	1
66,000	EUR	1,000	Tata Consultancy Services Netherlands B.V.	403	403
1,000	SEK	100	Tata Consultancy Services Sverige Aktiebolag	19	19
1	EUR	-	Tata Consultancy Services Deutschland GmbH	2	2
20,000	USD	10	Tata America International Corporation	453	453
75,82,820	SGD	1	Tata Consultancy Services Asia Pacific Pte. Ltd.	19	19
3,72,58,815	AUD	1	TCS FNS Pty Limited	212	212
10,00,001	GBP	1	Diligenta Limited	429	429
1,000	USD	-	Tata Consultancy Services Canada Inc.	_*	_*
100	CAD	70,653.61	Tata Consultancy Services Canada Inc.	31	31
51,00,000	INR	10	C-Edge Technologies Limited	5	5
8,90,000	INR	10	MP Online Limited	1	1
1,40,00,000	ZAR	1	Tata Consultancy Services (Africa) (Proprietary) Limited	66	66
18,89,005	INR	10	MahaOnline Limited	2	2
-	QAR	-	Tata Consultancy Services Qatar	2	2
10,00,000	INR	100	TCS e-Serve International Limited	10	10
1,00,500	GBP	0.00001	Tata Consultancy Services UK Limited	66	66
2,50,00,000	EUR	1	Tata Consultancy Services Ireland Limited	224	224
10,00,000	INR	10	TCS Foundation	-	-
17,56,500	INR	10	TRIL Bengaluru Real Estate Five Limited	3	3
93,34,600	INR	10	TRIL Bengaluru Real Estate Six Limited	14	14
-	USD	-	ListEngage Midco, LLC	6,956	6,956
15,30,000	INR	100	HyperVault AI Data Center Limited	15	15
Optionally redeemable convertible debentures (unquoted)					
16,48,90,800	INR	10	TRIL Bengaluru Real Estate Five Limited	249	249
87,67,24,500	INR	10	TRIL Bengaluru Real Estate Six Limited	1,327	1,327
Compulsorily convertible preference shares (unquoted)					
1,92,20,000	INR	100	HyperVault AI Data Center Limited	211	211
				11,181	11,181

Equity instruments designated at fair value through OCI are as follows:

					(₹ crore)
In numbers	Currency	Face value per share	Equity instruments designated at fair value through OCI	As at June 30, 2026	As at March 31, 2026
Fully paid equity shares (unquoted)					
1,90,00,000	INR	10	Taj Air Limited	-	-

*Represents value less than ₹0.50 crore.

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The movement in fair value of investments carried / designated at fair value through OCI is as follows:

	(₹ crore)	
	Three months ended June 30, 2026	Year ended March 31, 2026
Balance at the beginning of the period	(14)	784
Net gain / (loss) arising on revaluation of investments other than equities carried at fair value through other comprehensive income	592	(869)
Deferred tax relating to net gain / (loss) arising on revaluation of investments other than equities carried at fair value through other comprehensive income	(149)	219
Net cumulative gain reclassified to statement of profit and loss on sale of investments other than equities carried at fair value through other comprehensive income	(54)	(197)
Deferred tax relating to net cumulative gain reclassified to statement of profit and loss on sale of investments other than equities carried at fair value through other comprehensive income	14	49
Balance at the end of the period	389	(14)

(b) Trade receivables - Billed

Trade receivables - Billed (unsecured) consist of the following:

Trade receivables - Billed – Non-current

	(₹ crore)	
	As at June 30, 2026	As at March 31, 2026
Trade receivables - Billed	1,107	742
Less: Allowance for expected credit losses	(833)	(643)
Considered good	274	99

Trade receivables - Billed – Current

	(₹ crore)	
	As at June 30, 2026	As at March 31, 2026
Trade receivables - Billed	51,227	49,132
Less: Allowance for expected credit losses	(234)	(350)
Considered good	50,993	48,782
Trade receivables - Billed	321	319
Less: Allowance for expected credit losses	(209)	(209)
Credit impaired	112	110
	51,105	48,892

Above balances of trade receivables – billed include balances with related parties (Refer note 18).

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(c) Cash and cash equivalents

Cash and cash equivalents consist of the following:

	(₹ crore)	
	As at June 30, 2026	As at March 31, 2026
Balances with banks		
In current accounts	1,035	1,713
In deposit accounts	1,032	118
Cheques on hand	- *	- *
Cash on hand	-	- *
Remittances in transit	4	2
	2,071	1,833

*Represents value less than ₹0.50 crore.

(d) Other balances with banks

Other balances with banks consist of the following:

	(₹ crore)	
	As at June 30, 2026	As at March 31, 2026
Earmarked balances with banks	1,645	565
Short-term bank deposits	4,100	2,388
	5,745	2,953

Earmarked balances with banks primarily relate to tax deducted at source on dividend in escrow account, margin money for purchase of investments and unclaimed dividends.

(e) Loans

Loans (unsecured) consist of the following:

Loans – Non-current

	(₹ crore)	
	As at June 30, 2026	As at March 31, 2026
Considered good		
Inter-corporate deposits	-	750
Loans to employees	2	2
	2	752

Inter-corporate deposits yield fixed interest rate and are placed with financial institutions (related parties), who are authorised to accept and use such inter-corporate deposits as per regulations applicable to them.

Loans – Current

	(₹ crore)	
	As at June 30, 2026	As at March 31, 2026
Considered good		
Inter-corporate deposits	1,575	800
Loans to employees	4	4
Reverse Repo	-	900
	1,579	1,704

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Inter-corporate deposits yield fixed interest rate. Inter-corporate deposit of ₹1,500 crore and ₹750 crore as at June 30, 2026 and March 31, 2026, respectively are placed with financial institutions (related parties), who are authorised to accept and use such inter-corporate deposit as per regulations applicable to them. Also, inter-corporate deposits of ₹75 crore and ₹50 crore are placed with subsidiaries as at June 30, 2026 and March 31, 2026, respectively.

Reverse repo as at March 31, 2026 were secured against Central Government securities and Treasury Bills, bearing an average interest rate of 6.65% per annum, with an overnight tenure, with a calendar maturity of 3 days.

(f) Other financial assets

Other financial assets consist of the following:

Other financial assets – Non-current

	(₹ crore)	
	As at June 30, 2026	As at March 31, 2026
Security deposits	781	803
Long-term bank deposits	12	12
Interest receivable	2	43
Advance towards acquisition of investment	-	250
Fair value of call option	-	17
Others	115	35
	910	1,160

Other financial assets – Current

	(₹ crore)	
	As at June 30, 2026	As at March 31, 2026
Security deposits	218	197
Fair value of foreign exchange derivative assets	368	278
Interest receivable	536	583
Advance towards acquisition of investment	250	-
Fair value of call option	17	-
Advances to employees	198	226
Less: Allowance for advances to employees	(59)	(59)
Others	471	425
	1,999	1,650

(g) Other financial liabilities

Other financial liabilities consist of the following:

Other financial liabilities – Non-current

	(₹ crore)	
	As at June 30, 2026	As at March 31, 2026
Liabilities towards customer contracts	167	202
Deferred consideration on acquisition of subsidiary	19	18
Others	268	269
	454	489

Others include advance taxes paid of ₹226 crore and ₹226 crore as at June 30, 2026 and March 31, 2026, respectively, by the seller of TCS e-Serve Limited (merged with the Company) which, on refund by tax authorities is payable to the seller.

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Other financial liabilities – Current

	(₹ crore)	
	As at June 30, 2026	As at March 31, 2026
Accrued payroll	4,307	5,167
Unclaimed dividends	67	63
Fair value of foreign exchange derivative liabilities	71	471
Capital creditors	669	484
Liabilities towards customer contracts	1,025	1,211
Liabilities towards acquisition of subsidiaries	3	3
Deferred consideration on acquisition of subsidiary	21	20
Others	256	1,033
	6,419	8,452

Others include liabilities for forward contract settlements of ₹10 crore and ₹670 crore as at June 30, 2026 and March 31, 2026, respectively.

(h) Financial instruments by category

The carrying value of financial instruments by categories as at June 30, 2026 is as follows:

	(₹ crore)					
	Fair value through profit or loss	Fair value through other comprehensive income	Derivative instruments in hedging relationship	Derivative instruments not in hedging relationship	Amortised cost	Total carrying value
Financial assets						
Cash and cash equivalents	-	-	-	-	2,071	2,071
Bank deposits	-	-	-	-	4,112	4,112
Earmarked balances with banks	-	-	-	-	1,645	1,645
Investments (other than in subsidiary)	1,856	24,647	-	-	2,216	28,719
Trade receivables						
Billed	-	-	-	-	51,379	51,379
Unbilled	-	-	-	-	8,243	8,243
Loans	-	-	-	-	1,581	1,581
Other financial assets	17	-	121	247	2,512	2,897
	1,873	24,647	121	247	73,759	1,00,647
Financial liabilities						
Trade payables	-	-	-	-	18,678	18,678
Lease liabilities	-	-	-	-	9,333	9,333
Other financial liabilities	40	-	-	71	6,762	6,873
	40	-	-	71	34,773	34,884

Loans include inter-corporate deposits of ₹1,575 crore with original maturity of maximum 24 months.

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The carrying value of financial instruments by categories as at March 31, 2026 is as follows:

	(₹ crore)					
	Fair value through profit or loss	Fair value through other comprehensive income	Derivative instruments in hedging relationship	Derivative instruments not in hedging relationship	Amortised cost	Total carrying value
Financial assets						
Cash and cash equivalents	-	-	-	-	1,833	1,833
Bank deposits	-	-	-	-	2,400	2,400
Earmarked balances with banks	-	-	-	-	565	565
Investments (other than in subsidiary)	1,104	26,158	-	-	2,647	29,909
Trade receivables						
Billed	-	-	-	-	48,991	48,991
Unbilled	-	-	-	-	8,186	8,186
Loans	-	-	-	-	2,456	2,456
Other financial assets	17	-	39	239	2,503	2,798
	1,121	26,158	39	239	69,581	97,138
Financial liabilities						
Trade payables	-	-	-	-	18,099	18,099
Lease liabilities	-	-	-	-	9,354	9,354
Other financial liabilities	38	-	-	471	8,432	8,941
	38	-	-	471	35,885	36,394

Loans include inter-corporate deposits of ₹1,550 crore with original maturity of maximum 24 months and reverse repo of ₹900 crore with an overnight tenure, with a calendar maturity of 3 days.

Carrying amounts of cash and cash equivalents, trade receivables, loans and trade payables as at June 30, 2026 and March 31, 2026, approximate the fair value due to their nature. Carrying amounts of bank deposits, earmarked balances with banks, other financial assets and other financial liabilities which are subsequently measured at amortised cost also approximate the fair value due to their nature in each of the periods presented. Fair value measurement of lease liabilities is not required. Fair value of investments is carried at amortised cost is ₹2,217 crore and ₹2,647 crore as at June 30, 2026 and March 31, 2026, respectively.

(i) Fair value hierarchy

The fair value hierarchy is based on inputs to valuation techniques that are used to measure fair value that are either observable or unobservable and consists of the following three levels:

- Level 1 – Inputs are quoted prices (unadjusted) in active markets for identical assets or liabilities.
- Level 2 – Inputs are other than quoted prices included within Level 1 that are observable for the asset or liability, either directly (i.e. as prices) or indirectly (i.e. derived from prices).
- Level 3 – Inputs are not based on observable market data (unobservable inputs). Fair values are determined in whole or in part using a valuation model based on assumptions that are neither supported by prices from observable current market transactions in the same instrument nor are they based on available market data.

The cost of unquoted investments included in Level 3 of fair value hierarchy approximate their fair value because there is a wide range of possible fair value measurements and the cost represents estimate of fair value within that range.

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The following table summarises financial assets and liabilities measured at fair value on a recurring basis and financial assets that are not measured at fair value on a recurring basis (but fair value disclosures are required):

	(₹ crore)			
As at June 30, 2026	Level 1	Level 2	Level 3	Total
Financial assets				
Mutual fund units	1,856	-	-	1,856
Equity shares	-	-	-	-
Government bonds and securities	20,273	-	-	20,273
Corporate bonds and debentures	4,374	-	-	4,374
Commercial papers	2,217	-	-	2,217
Fair value of foreign exchange derivative assets	-	368	-	368
Fair value of call option	-	-	17	17
	28,720	368	17	29,105
Financial liabilities				
Fair value of foreign exchange derivative liabilities	-	71	-	71
Deferred consideration on acquisition of subsidiary	-	-	40	40
	-	71	40	111

	(₹ crore)			
As at March 31, 2026	Level 1	Level 2	Level 3	Total
Financial assets				
Mutual fund units	1,104	-	-	1,104
Equity shares	-	-	-	-
Government bonds and securities	21,450	-	-	21,450
Corporate bonds and debentures	4,708	-	-	4,708
Certificate of deposits	1,583	-	-	1,583
Commercial papers	1,064	-	-	1,064
Fair value of foreign exchange derivative assets	-	278	-	278
Fair value of call option	-	-	17	17
	29,909	278	17	30,204
Financial liabilities				
Fair value of foreign exchange derivative liabilities	-	471	-	471
Deferred consideration on acquisition of subsidiary	-	-	38	38
	-	471	38	509

Reconciliation of Level 3 fair value measurement of financial assets is as follows:

	(₹ crore)	
	Three months ended June 30, 2026	Year ended March 31, 2026
Balance at the beginning of the period	17	-
Change during the period	-	17
Balance at the end of the period	17	17

If the volatility increases / decreases by 1%, the fair value of call option would increase / (decrease) as follows:

	(₹ crore)	
	As at June 30, 2026	As at March 31, 2026
Increase of 1%	3	3
Decrease of 1%	(3)	(3)

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If the risk free interest rate increases / decreases by 0.50%, the fair value of call option would increase / (decrease) as follows:

	(₹ crore)	
	As at June 30, 2026	As at March 31, 2026
Increase of 0.50%	1	1
Decrease of 0.50%	(1)	(1)

Following table describes the valuation techniques used and key inputs thereto for the level 3 financial assets:

Financial assets	Valuation technique	Significant unobservable input	Significant unobservable input range		Inter-relationship between significant unobservable input and fair value measurement
			As at June 30, 2026	As at March 31, 2026	
Call option	Black-Scholes Option Pricing Model	Volatility of the property price	20.00%	20.00%	The estimated fair value of call option will Increase / (decrease) if the volatility of the property price is higher / (lower)
		Risk free interest rate	5.87%	5.87%	The estimated fair value of call option will Increase / (decrease) if the risk free interest rate is higher / (lower)

Reconciliation of Level 3 fair value measurement of financial liabilities is as follows:

	(₹ crore)	
	Three months ended June 30, 2026	Year ended March 31, 2026
Balance at the beginning of the period	38	-
Change during the period	2	38
Balance at the end of the period	40	38

The fair valuation is determined based on present value of deferred consideration and risk free discount rates using net present value method. There were no significant interrelationship between unobservable inputs that materially affected the fair value. If the risk free discount rate increases or decreases by 1%, the impact on the net present value will not be material.

(j) Derivative financial instruments and hedging activity

The Company's revenue is denominated in various foreign currencies. Given the nature of the business, a large portion of the costs are denominated in Indian Rupee. This exposes the Company to currency fluctuations.

The Board of Directors has constituted a Risk Management Committee (RMC) to frame, implement and monitor the risk management plan of the Company which inter-alia covers risks arising out of exposure to foreign currency fluctuations. Under the guidance and framework provided by the RMC, the Company uses various derivative instruments such as foreign exchange forward, currency options and futures contracts in which the counterparty is generally a bank.

The following are outstanding currency options contracts, which have been designated as cash flow hedges:

Foreign currency	No. of contracts	As at June 30, 2026		No. of contracts	As at March 31, 2026	
		Notional amount of contracts (In million)	Fair value (₹ crore)		Notional amount of contracts (In million)	Fair value (₹ crore)
US Dollar	11	400	25	12	300	2
Great Britain Pound	21	220	50	22	215	22
Euro	22	225	46	22	215	15

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The movement in cash flow hedging reserve for derivatives designated as cash flow hedges is as follows:

	(₹ crore)			
	Three months ended June 30, 2026		Year ended March 31, 2026	
	Intrinsic value	Time value	Intrinsic value	Time value
Balance at the beginning of the period	2	(24)	9	(24)
(Gain) / loss transferred to profit and loss on occurrence of forecasted hedge transactions	(8)	67	(15)	299
Deferred tax on (gain) / loss transferred to profit and loss on occurrence of forecasted hedge transactions	2	(17)	4	(75)
Change in the fair value of effective portion of cash flow hedges	84	(72)	6	(299)
Deferred tax on change in the fair value of effective portion of cash flow hedges	(21)	18	(2)	75
Balance at the end of the period	59	(28)	2	(24)

The Company has entered into derivative instruments not in hedging relationship by way of foreign exchange forward, currency options and futures contracts. As at June 30, 2026 and March 31, 2026, the notional amount of outstanding contracts aggregated to ₹64,853 crore and ₹61,536 crore, respectively, and the respective fair value of these contracts have a net gain of ₹176 crore and net loss of ₹232 crore.

Exchange gain of ₹630 crore and loss of ₹454 crore on foreign exchange forward, currency options and futures contracts that do not qualify for hedge accounting have been recognised in the standalone interim statement of profit and loss for three months ended June 30, 2026 and 2025, respectively.

Net foreign exchange gain / (loss) includes loss of ₹59 crore and loss of ₹52 crore transferred from cash flow hedging reserve to the standalone interim statement of profit and loss on occurrence of forecasted hedge transactions for three months ended June 30, 2026 and 2025, respectively.

Net gain on derivative instruments of ₹31 crore recognised in cash flow hedging reserve as at June 30, 2026, is expected to be transferred to the statement of profit and loss by June 30, 2027. The maximum period over which the exposure to cash flow variability has been hedged is through calendar year 2026.

Following table summarises approximate gain / (loss) on the Company's other comprehensive income on account of appreciation / depreciation of the underlying foreign currencies:

	(₹ crore)	
	As at June 30, 2026	As at March 31, 2026
10% appreciation of the underlying foreign currencies	1	2
10% depreciation of the underlying foreign currencies	1,039	665

(k) Financial risk management

The Company is exposed primarily to fluctuations in foreign currency exchange rates, credit, liquidity and interest rate risks, which may adversely impact the fair value of its financial instruments. The Company has a risk management policy which covers risks associated with the financial assets and liabilities. The risk management policy is approved by the Board of Directors. The focus of the risk management committee is to assess the unpredictability of the financial environment and to mitigate potential adverse effects on the financial performance of the Company.

Market risk

Market risk is the risk that the fair value or future cash flows of a financial instrument will fluctuate because of changes in market prices. Such changes in the values of financial instruments may result from changes in the foreign currency exchange rates, interest rates, credit, liquidity and other market changes. The Company's exposure to market risk is primarily on account of foreign currency exchange rate risk.

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• **Foreign currency exchange rate risk**

The fluctuation in foreign currency exchange rates may have potential impact on the statement of profit and loss and other comprehensive income and equity, where any transaction references more than one currency or where assets / liabilities are denominated in a currency other than the functional currency of the Company. Considering the countries and economic environment in which the Company operates, its operations are subject to risks arising from fluctuations in exchange rates in those countries.

The Company, as per its risk management policy, uses derivative instruments primarily to hedge foreign exchange. Further, any movement in the functional currency of the various operations of the Company against major foreign currencies may impact the Company's revenue in international business.

The Company evaluates the impact of foreign exchange rate fluctuations by assessing its exposure to exchange rate risks. It hedges a part of these risks by using derivative financial instruments in line with its risk management policies.

The foreign exchange rate sensitivity is calculated by aggregation of the net foreign exchange rate exposure and a simultaneous parallel foreign exchange rates shift of all the currencies by 10% against the functional currency of the Company.

The following analysis has been carried out based on the exposures of the Company as of the date of balance sheet which could affect the statement of profit and loss and other comprehensive income and equity. Further the exposure is mitigated by some of the derivative contracts entered into by the Company as disclosed in note 6(j).

The following table sets forth information relating to unhedged foreign currency exposure as at June 30, 2026:

	(₹ crore)			
	USD	EUR	GBP	Others
Net financial assets	5,322	468	601	2,316
Net financial liabilities	(6,558)	(956)	(1,091)	(1,279)

10% appreciation / depreciation of the functional currency of the Company with respect to various foreign currencies would result in increase / decrease in the Company's profit before taxes by approximately ₹118 crore for three months ended June 30, 2026.

The following table sets forth information relating to unhedged foreign currency exposure as at March 31, 2026:

	(₹ crore)			
	USD	EUR	GBP	Others
Net financial assets	1,043	625	1,209	2,342
Net financial liabilities	(12,210)	(756)	(1,755)	(872)

10% appreciation / depreciation of the functional currency of the Company with respect to various foreign currencies would result in increase / decrease in the Company's profit before taxes by approximately ₹1,037 crore for the year ended March 31, 2026.

• **Interest rate risk**

The Company's investments are primarily in fixed rate interest bearing investments. Hence, the Company is not significantly exposed to interest rate risk.

Credit risk

Credit risk is the risk of financial loss arising from counterparty failure to repay or service debt according to the contractual terms or obligations. Credit risk encompasses both the direct risk of default and the risk of deterioration in creditworthiness, as well as concentration risk. Credit risk is controlled by analysing credit limits and creditworthiness of customers on a continuous basis to whom the credit has been granted after obtaining necessary approvals for credit. Refer note 4(d) for methods, assumptions and information used to measure expected credit losses.

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Financial instruments that are subject to credit risk consist of trade receivables, loans, investments, derivative financial instruments, cash and cash equivalents, bank deposits and other financial assets. Loans include Inter-corporate deposits of ₹1,575 crore and ₹1,550 crore placed with subsidiaries and financial institutions as at June 30, 2026 and March 31, 2026, respectively. Loans also include reverse repo of NIL and ₹900 crore as at June 30, 2026 and March 31, 2026, respectively. Bank deposits include an amount of ₹4,112 crore held with two banks and ₹2,400 crore held with two banks, having high credit rating which are individually in excess of 10% or more of the Company's total bank deposits as at June 30, 2026 and March 31, 2026, respectively. None of the other financial instruments of the Company result in material concentration of credit risk.

• **Exposure to credit risk**

The carrying amount of financial assets and contract assets represents the maximum credit exposure. The maximum exposure to credit risk was ₹1,07,857 crore and ₹1,03,699 crore as at June 30, 2026 and March 31, 2026, respectively, being the total of the carrying amount of balances with banks, bank deposits, investments excluding equity and preference investments, trade receivables, loans, contract assets and other financial assets.

The Company's exposure to customers is diversified. No customer held more than 10% of the outstanding of trade receivables and contract assets as at June 30, 2026 and March 31, 2026.

• **Geographic concentration of credit risk**

Geographic concentration of trade receivables (gross and net of allowances) and contract assets is as follows:

	As at June 30, 2026		As at March 31, 2026	
	Gross%	Net%	Gross%	Net%
United States of America	46.10	46.76	46.50	47.15
India	19.91	18.66	19.31	18.08
United Kingdom	14.42	14.65	15.19	15.44
Europe	9.96	10.15	8.53	8.69

Geographic concentration of trade receivables (gross and net of allowances) and contract assets is allocated based on the location of the customers.

The allowance for lifetime expected credit losses on trade receivables for three months ended June 30, 2026 and year ended March 31, 2026 was ₹74 crore and ₹160 crore, respectively. The reconciliation of allowance for expected credit losses is as follows:

	(₹ crore)	
	Three months ended June 30, 2026	Year ended March 31, 2026
Balance at the beginning of the period	1,202	1,151
Additions during the period	74	160
Bad debts written off	-	(126)
Translation exchange difference	-	17
Balance at the end of the period	1,276	1,202

Liquidity risk

Liquidity risk refers to the risk that the Company cannot meet its financial obligations. The objective of liquidity risk management is to maintain sufficient liquidity and ensure that funds are available for use as per requirements. The Company consistently generated sufficient cash flows from operations to meet its financial obligations including lease liabilities as and when they fall due.

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The tables below provide details regarding the contractual maturities of significant financial liabilities as at:

	(₹ crore)				
June 30, 2026	Due in 1st year	Due in 2nd year	Due in 3rd to 5th year	Due after 5th year	Total
Non-derivative financial liabilities					
Trade payables	18,678	-	-	-	18,678
Lease liabilities	1,852	1,654	4,209	4,850	12,565
Other financial liabilities	6,349	183	260	11	6,803
	26,879	1,837	4,469	4,861	38,046
Derivative financial liabilities	71	-	-	-	71
	26,950	1,837	4,469	4,861	38,117
	(₹ crore)				
March 31, 2026	Due in 1st year	Due in 2nd year	Due in 3rd to 5th year	Due after 5th year	Total
Non-derivative financial liabilities					
Trade payables	18,099	-	-	-	18,099
Lease liabilities	1,877	1,664	4,166	4,871	12,578
Other financial liabilities	7,982	165	296	28	8,471
	27,958	1,829	4,462	4,899	39,148
Derivative financial liabilities	471	-	-	-	471
	28,429	1,829	4,462	4,899	39,619

(I) Equity instruments

The authorised, issued, subscribed and fully paid up share capital consist of the following:

	(₹ crore)	
	As at June 30, 2026	As at March 31, 2026
Authorised		
460,05,00,000 equity shares of ₹1 each (March 31, 2026: 460,05,00,000 equity shares of ₹1 each)	460	460
105,02,50,000 preference shares of ₹1 each (March 31, 2026: 105,02,50,000 preference shares of ₹1 each)	105	105
	565	565
Issued, Subscribed and Fully paid up		
361,80,87,518 equity shares of ₹1 each (March 31, 2026: 361,80,87,518 equity shares of ₹1 each)	362	362
	362	362

The Company's objective for capital management is to maximise shareholder value, safeguard business continuity and support the growth of the Company. The Company determines the capital requirement based on annual operating plans and long-term and other strategic investment plans. The funding requirements are met through equity and operating cash flows generated. The Company is not subject to any externally imposed capital requirements.

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I. Reconciliation of number of shares

	Three months ended June 30, 2026		Year ended March 31, 2026	
	Number of shares	Amount (₹ crore)	Number of shares	Amount (₹ crore)
Equity shares				
Opening balance	361,80,87,518	362	361,80,87,518	362
Change during the period	-	-	-	-
Closing balance	361,80,87,518	362	361,80,87,518	362

II. Rights, preferences and restrictions attached to shares

The Company has one class of equity shares having a par value of ₹1 each. Each shareholder is eligible for one vote per share held and carry a right to dividend. The dividend proposed by the Board of Directors is subject to the approval of the shareholders in the ensuing Annual General Meeting, except in case of interim dividend. In the event of liquidation, the equity shareholders are eligible to receive the remaining assets of the Company after distribution of all preferential amounts, in proportion to their shareholding.

III. Shares held by Holding Company, its Subsidiaries and Associates

	(₹ crore)	
	As at June 30, 2026	As at March 31, 2026
Equity shares		
Holding company		
259,54,99,419 equity shares (March 31, 2026: 259,54,99,419 equity shares) are held by Tata Sons Private Limited	260	260
Subsidiaries and Associates of Holding company		
7,220 equity shares (March 31, 2026: 7,220 equity shares) are held by Tata Industries Limited*	-	-
10,04,425 equity shares (March 31, 2026: 10,04,425 equity shares) are held by Tata Investment Corporation Limited*	-	-
46,798 equity shares (March 31, 2026: 46,798 equity shares) are held by Tata Steel Limited*	-	-
766 equity shares (March 31, 2026: 766 equity shares) are held by The Tata Power Company Limited*	-	-
	260	260

*Equity shares having value less than ₹0.50 crore.

7) Leases

A contract is, or contains, a lease if the contract conveys the right to control the use of an identified asset for a period of time in exchange for consideration.

Company as a lessee

The Company accounts for each lease component within the contract as a lease separately from non-lease components of the contract and allocates the consideration in the contract to each lease component on the basis of the relative standalone price of the lease component and the aggregate standalone price of the non-lease components.

The Company recognises right-of-use asset representing its right to use the underlying asset for the lease term at the lease commencement date. The cost of the right-of-use asset measured at inception shall comprise of the amount of the initial measurement of the lease liability adjusted for any lease payments made at or before the commencement date less any lease incentives received, plus any initial direct costs incurred and an estimate of costs to be incurred by the lessee in dismantling and removing the underlying asset or restoring the underlying asset or site on which it is located. The right-of-use asset is subsequently measured at cost less any accumulated depreciation, accumulated

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impairment losses, if any and adjusted for any remeasurement of the lease liability. The right-of-use asset is depreciated using the straight-line method from the commencement date over the shorter of lease term or useful life of right-of-use asset. The estimated useful lives of right-of-use assets are determined on the same basis as those of property, plant and equipment. Right-of-use assets are tested for impairment whenever there is any indication that their carrying amounts may not be recoverable. Impairment loss, if any, is recognised in the statement of profit and loss.

The Company measures the lease liability at the present value of the lease payments that are not paid at the commencement date of the lease. The lease payments are discounted using the interest rate implicit in the lease, if that rate can be readily determined. If that rate cannot be readily determined, the Company uses incremental borrowing rate. For leases with reasonably similar characteristics, the Company, on a lease-by-lease basis, may adopt either the incremental borrowing rate specific to the lease or the incremental borrowing rate for the portfolio as a whole. The lease payments shall include fixed payments, variable lease payments, residual value guarantees, exercise price of a purchase option where the Company is reasonably certain to exercise that option and payments of penalties for terminating the lease, if the lease term reflects the lessee exercising an option to terminate the lease. The lease liability is subsequently remeasured by increasing the carrying amount to reflect interest on the lease liability, reducing the carrying amount to reflect the lease payments made and remeasuring the carrying amount to reflect any reassessment or lease modifications or to reflect revised in-substance fixed lease payments. The Company recognises the amount of the re-measurement of lease liability due to modification as an adjustment to the right-of-use asset and statement of profit and loss depending upon the nature of modification. Where the carrying amount of the right-of-use asset is reduced to zero and there is a further reduction in the measurement of the lease liability, the Company recognises any remaining amount of the re-measurement in statement of profit and loss.

The Company has elected not to apply the requirements of Ind AS 116 - Leases to short-term leases of all assets that have a lease term of 12 months or less and leases for which the underlying asset is of low value. The lease payments associated with these leases are recognised as an expense on a straight-line basis over the lease term.

Company as a lessor

At the inception of the lease the Company classifies each of its leases as either an operating lease or a finance lease. The Company recognises lease payments received under operating leases as income on a straight-line basis over the lease term. In case of a finance lease, finance income is recognised over the lease term based on a pattern reflecting a constant periodic rate of return on the lessor's net investment in the lease. When the Company is an intermediate lessor it accounts for its interests in the head lease and the sub-lease separately. It assesses the lease classification of a sub-lease with reference to the right-of-use asset arising from the head lease, not with reference to the underlying asset. If a head lease is a short-term lease to which the Company applies the exemption described above, then it classifies the sub-lease as an operating lease.

If an arrangement contains lease and non-lease components, the Company applies Ind AS 115 - Revenue from contracts with customers to allocate the consideration in the contract.

The details of the right-of-use assets held by the Company are as follows:

	(₹ crore)	
	Additions for three months ended June 30, 2026	Net carrying amount as at June 30, 2026
Leasehold land	-	911
Buildings	269	8,029
Leasehold improvements	-	44
Computer equipment	1	149
Vehicles	-	2
Furniture and fixtures	-	2
	270	9,137

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	(₹ crore)	
	Additions for the year ended March 31, 2026	Net carrying amount as at March 31, 2026
Leasehold land	8	914
Buildings	3,381	8,117
Leasehold improvements	21	48
Computer equipment	104	160
Software licences	-	2
Vehicles	1	2
Furniture and fixtures	1	2
	3,516	9,245

Depreciation on right-of-use assets is as follows:

	(₹ crore)	
	Three months ended June 30, 2026	Three months ended June 30, 2025
Leasehold land	3	3
Buildings	357	314
Leasehold improvements	4	2
Computer equipment	12	13
Software licences	2	7
Vehicles	_*	_*
Furniture and fixtures	_*	_*
	378	339

*Represents value less than ₹0.50 crore.

Changes in lease liabilities are as follows:

	(₹ crore)	
	Three months ended June 30, 2026	Three months ended June 30, 2025
Balance as at beginning of the period	9,354	7,577
Additions during the period	344	294
Repayment of lease liabilities during the period	(365)	(295)
Other non-cash movements	1	(7)
Translation exchange difference	(1)	36
Balance as at end of the period	9,333	7,605

Interest on lease liabilities is ₹174 crore and ₹143 crore for three months ended June 30, 2026 and 2025, respectively.

The Company incurred ₹46 crore and ₹68 crore for three months ended June 30, 2026 and 2025, respectively, towards expenses relating to short-term leases and leases of low-value assets.

The total cash outflow for leases is ₹586 crore and ₹536 crore for three months ended June 30, 2026 and 2025, respectively, including cash outflow for short term leases and leases of low-value assets.

The Company has lease term extension options that are not reflected in the measurement of lease liabilities. The present value of future cash outflows for such extension periods is ₹1,061 crore and ₹1,041 crore as at June 30, 2026 and March 31, 2026, respectively.

The Company's lease contracts primarily pertain to buildings taken on lease for conducting its business in the ordinary course.

The Company does not have any lease restrictions and commitment towards variable rent as per the contract.

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8) Non-financial assets and non-financial liabilities

(a) Property, plant and equipment

The Company recognises the cost of an item of property, plant and equipment as an asset if, and only if it is probable that future economic benefits associated with the item will flow to the Company and the cost of the item can be measured reliably.

Property, plant and equipment are stated at cost comprising of purchase price and any initial directly attributable cost of bringing the asset to its working condition for its intended use, less accumulated depreciation (other than freehold land) and impairment loss, if any.

Depreciation is provided for property, plant and equipment on a straight-line basis so as to expense the cost less residual value over their estimated useful lives as prescribed in Schedule II of the Companies Act, 2013 except in respect of certain categories of assets, where the useful life of the assets has been assessed based on a technical evaluation. The estimated useful lives and residual values are reviewed at the end of each reporting period, with the effect of any change in estimate accounted for on a prospective basis.

The estimated useful lives are as mentioned below:

Type of asset	Useful lives
Buildings	20 years*
Leasehold improvements	Lease term
Plant and equipment	10 years*
Computer equipment	4 years*
Vehicles	4 years*
Office equipment	2-5 years*
Electrical installations	4-10 years*
Furniture and fixtures	5 years*

*The Company believes that the technically evaluated useful lives, different from Schedule II of the Companies Act, 2013, best represent the period over which these assets are expected to be used.

Capital work-in-progress are stated at cost less impairment loss, if any. Depreciation is not recorded on capital work-in-progress until construction and installation are complete and the asset is ready for its intended use.

Property, plant and equipment with finite life are evaluated for recoverability whenever there is any indication that their carrying amounts may not be recoverable. If any such indication exists, the recoverable amount (i.e. higher of the fair value less cost to sell and the value-in-use) is determined on an individual asset basis unless the asset does not generate cash flows that are largely independent of those from other assets. In such cases, the recoverable amount is determined for the cash generating unit (CGU) to which the asset belongs.

If the recoverable amount of an asset (or CGU) is estimated to be less than its carrying amount, the carrying amount of the asset (or CGU) is reduced to its recoverable amount. An impairment loss is recognised in the statement of profit and loss.

The carrying amount of an item of property, plant and equipment shall be derecognised on disposal or when no future economic benefits are expected from its use or disposal.

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Property, plant and equipment consist of the following:

	(₹ crore)									
	Freehold land	Buildings	Leasehold improvements	Plant and equipment	Computer equipment	Vehicles	Office equipment	Electrical installations	Furniture and fixtures	Total
Cost as at April 1, 2026	323	8,685	2,170	1,024	12,191	56	2,927	2,151	1,891	31,418
Additions	-	7	239	59	278	3	64	68	55	773
Disposals	-	(7)	(2)	-	(177)	(1)	(8)	(8)	(1)	(204)
Cost as at June 30, 2026	323	8,685	2,407	1,083	12,292	58	2,983	2,211	1,945	31,987
Accumulated depreciation as at April 1, 2026	-	(4,900)	(1,558)	(688)	(10,082)	(41)	(2,500)	(1,763)	(1,627)	(23,159)
Depreciation	-	(104)	(35)	(19)	(254)	(2)	(44)	(23)	(25)	(506)
Disposals	-	-	2	-	168	1	8	8	1	188
Accumulated depreciation as at June 30, 2026	-	(5,004)	(1,591)	(707)	(10,168)	(42)	(2,536)	(1,778)	(1,651)	(23,477)
Net carrying amount as at June 30, 2026	323	3,681	816	376	2,124	16	447	433	294	8,510
Capital work-in-progress										2,454
Total										10,964

	(₹ crore)									
	Freehold land	Buildings	Leasehold improvements	Plant and equipment	Computer equipment	Vehicles	Office equipment	Electrical installations	Furniture and fixtures	Total
Cost as at April 1, 2025	323	8,629	1,993	979	11,901	51	2,791	2,104	1,833	30,604
Additions	-	63	236	50	1,336	9	231	75	88	2,088
Disposals	-	(7)	(59)	(5)	(1,046)	(4)	(95)	(28)	(30)	(1,274)
Cost as at March 31, 2026	323	8,685	2,170	1,024	12,191	56	2,927	2,151	1,891	31,418
Accumulated depreciation as at April 1, 2025	-	(4,489)	(1,499)	(614)	(9,942)	(37)	(2,433)	(1,684)	(1,560)	(22,258)
Depreciation	-	(418)	(118)	(78)	(1,156)	(8)	(162)	(105)	(97)	(2,142)
Disposals	-	7	59	4	1,016	4	95	26	30	1,241
Accumulated depreciation as at March 31, 2026	-	(4,900)	(1,558)	(688)	(10,082)	(41)	(2,500)	(1,763)	(1,627)	(23,159)
Net carrying amount as at March 31, 2026	323	3,785	612	336	2,109	15	427	388	264	8,259
Capital work-in-progress										2,402
Total										10,661

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Capital work-in-progress

- Changes in capital work-in-progress are as follows:

	(₹ crore)	
	Three months ended June 30, 2026	Year ended March 31, 2026
Balance at the beginning of the period	2,402	1,318
Additions during the period	825	3,172
Capitalised during the period	(773)	(2,088)
Balance at the end of the period	2,454	2,402

(b) Intangible assets

Intangible assets purchased are measured at cost as at the date of acquisition, as applicable, less accumulated amortisation and accumulated impairment, if any.

Intangible assets consist of rights under licensing agreement and software licences which are amortised over licence period which equates the economic useful life ranging between 1-5 years on a straight-line basis over the period of its economic useful life.

Intangible assets with finite life are evaluated for recoverability whenever there is any indication that their carrying amounts may not be recoverable. If any such indication exists, the recoverable amount (i.e. higher of the fair value less cost to sell and the value-in-use) is determined on an individual asset basis unless the asset does not generate cash flows that are largely independent of those from other assets. In such cases, the recoverable amount is determined for the cash generating unit (CGU) to which the asset belongs.

If the recoverable amount of an asset (or CGU) is estimated to be less than its carrying amount, the carrying amount of the asset (or CGU) is reduced to its recoverable amount. An impairment loss is recognised in the statement of profit and loss.

Intangible assets consist of the following:

	(₹ crore)
Rights under licensing agreement and software licences	
Cost as at April 1, 2026	900
Additions	3
Disposals / Derecognised	(14)
Cost as at June 30, 2026	889
Accumulated amortisation as at April 1, 2026	(694)
Amortisation	(31)
Disposals / Derecognised	14
Accumulated amortisation as at June 30, 2026	(711)
Net carrying amount as at June 30, 2026	178

	(₹ crore)
Rights under licensing agreement and software licences	
Cost as at April 1, 2025	2,774
Additions	63
Disposals / Derecognised	(1,937)
Cost as at March 31, 2026	900
Accumulated amortisation as at April 1, 2025	(1,896)
Amortisation	(735)
Disposals / Derecognised	1,937
Accumulated amortisation as at March 31, 2026	(694)
Net carrying amount as at March 31, 2026	206

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The estimated amortisation for the periods subsequent to June 30, 2026 is as follows:

	(₹ crore)
Period ending June 30,	Amortisation expense
2027	96
2028	49
2029	28
2030	5
	178

(c) Other assets

Other assets consist of the following:

Other assets – Non-current

	(₹ crore)	
	As at June 30, 2026	As at March 31, 2026
Considered good		
Capital advances	347	374
Advances to related parties	68	105
Contract assets	255	273
Prepaid expenses	220	425
Contract fulfillment costs	103	71
Others	178	178
	1,171	1,426
Advances to related parties, considered good, comprise:		
Tata Projects Limited	64	101
Titan Engineering and Automation Limited	2	2
Universal MEP Projects & Engineering Services Limited	2	2

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Other assets – Current

	(₹ crore)	
	As at June 30, 2026	As at March 31, 2026
Considered good		
Advance to suppliers	177	174
Advance to related parties	1,069	1,515
Contract assets	6,955	6,288
Prepaid expenses	2,136	2,049
Contract fulfillment costs	1,493	1,720
Indirect taxes recoverable	1,865	1,849
Others	330	397
Considered doubtful		
Advance to suppliers	2	2
Other advances	2	2
Less: Allowance for doubtful assets	(4)	(4)
	14,025	13,992
Advance to related parties, considered good comprise:		
Tata AIG General Insurance Company Limited	10	12
Titan Company Limited	1	8
Tejas Networks Limited	880	1,335
Tata Consultancy Services Deutschland GmbH	29	27
Tata Consultancy Services De Mexico, S.A. De C.V.	10	9
Tata Consultancy Services (South Africa) (Proprietary) Limited	1	1
Tata Consultancy Services Do Brasil Ltda.	4	4
Tata Consultancy Services Italia S.R.L.	1	1
Tata Consultancy Services Japan, Ltd.	19	17
TCS Financial Solutions Australia Pty Ltd	1	-
Tata America International Corporation	104	97
Tata Consultancy Services (China) Co., Ltd.	4	4
ListEngage, LLC	5	-

Non-current – Others includes advance of ₹177 crore and ₹177 crore towards acquiring right-of-use of leasehold land as at June 30, 2026 and March 31, 2026, respectively.

Contract fulfillment costs of ₹496 crore and ₹763 crore for three months ended June 30, 2026 and year ended March 31, 2026, respectively, have been amortised in the standalone statement of profit and loss. Refer note 9 for the changes in contract assets.

(d) Inventories

Inventories consist of a) Raw materials, sub-assemblies and components, b) Work-in-progress, c) Stores and spare parts and d) Finished goods. Inventories are carried at lower of cost and net realisable value. The cost of raw materials, sub-assemblies and components is determined on a weighted average basis. Cost of finished goods produced or purchased by the Company includes direct material and labour cost and a proportion of manufacturing overheads.

Inventories consist of the following:

	(₹ crore)	
	As at June 30, 2026	As at March 31, 2026
Raw materials, sub-assemblies and components	25	26
Finished goods and work-in-progress	2	3
	27	29

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(e) Other liabilities

Other liabilities consist of the following:

Other liabilities – Current

	(₹ crore)	
	As at June 30, 2026	As at March 31, 2026
Advance received from customers	465	616
Indirect taxes payable and other statutory liabilities	4,313	3,199
Others	695	639
	5,473	4,454

(f) Provisions

Provisions consist of the following:

Provisions – Current

	(₹ crore)	
	As at June 30, 2026	As at March 31, 2026
Provision towards legal claim (Refer note 17)	131	1,062
Provision for foreseeable loss	73	84
	204	1,146

9) Revenue recognition

The Company earns revenue primarily from providing IT services, consulting and business solutions. The Company offers a consulting-led, cognitive powered, integrated portfolio of IT, business and engineering services and solutions.

Revenue is recognised upon transfer of control of promised products or services to customers in an amount that reflects the consideration which the Company expects to receive in exchange for those products or services.

- Revenue from time and material and job contracts is recognised on output basis measured by units delivered, efforts expended, number of transactions processed, etc.
- Revenue related to fixed price maintenance and support services contracts where the Company is standing ready to provide services is recognised based on time elapsed mode and revenue is straight-lined over the period of performance.
- In respect of other fixed-price contracts, revenue is recognised using percentage-of-completion method ('POC method') of accounting with contract costs incurred determining the degree of completion of the performance obligation. The contract costs used in computing the revenues include cost of fulfilling warranty obligations.
- Revenue from the sale of distinct internally developed software and manufactured systems and third party software is recognised upfront at the point in time when the system / software is delivered to the customer. In cases where implementation and / or customisation services rendered significantly modifies or customises the software, these services and software are accounted for as a single performance obligation and revenue is recognised over time on a POC method.
- Revenue from the sale of distinct third party hardware is recognised at the point in time when control is transferred to the customer.
- The solutions offered by the Company may include supply of third-party equipment or software. In such cases, revenue for supply of such third party products are recorded at gross or net basis depending on whether the Company is acting as the principal or as an agent of the customer. The Company recognises revenue in the gross amount of consideration when it is acting as a principal and at net amount of consideration when it is acting as an agent.

Revenue is measured based on the transaction price, which is the consideration, adjusted for volume discounts, service level credits, performance bonuses, price concessions and incentives, if any, as specified in the contract with the customer. Revenue also excludes taxes collected from customers.

The Company's contracts with customers could include promises to transfer multiple products and services to a customer. The Company assesses the products / services promised in a contract and identifies distinct performance obligations in the contract. Identification of distinct performance obligation involves judgement to determine the deliverables and the ability of the customer to benefit independently from such deliverables.

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Judgement is also required to determine the transaction price for the contract and to ascribe the transaction price to each distinct performance obligation. The transaction price could be either a fixed amount of customer consideration or variable consideration with elements such as volume discounts, service level credits, performance bonuses, price concessions and incentives. The transaction price is also adjusted for the effects of the time value of money if the contract includes a significant financing component. Any consideration payable to the customer is adjusted to the transaction price, unless it is a payment for a distinct product or service from the customer.

The estimated amount of variable consideration is adjusted in the transaction price only to the extent that it is highly probable that a significant reversal in the amount of cumulative revenue recognised will not occur and is reassessed at the end of each reporting period. The Company allocates the elements of variable considerations to all the performance obligations of the contract unless there is observable evidence that they pertain to one or more distinct performance obligations.

The Company exercises judgement in determining whether the performance obligation is satisfied at a point in time or over a period of time. The Company considers indicators such as how customer consumes benefits as services are rendered or who controls the asset as it is being created or existence of enforceable right to payment for performance to date and alternate use of such product or service, transfer of significant risks and rewards to the customer, acceptance of delivery by the customer, etc.

Revenue from subsidiaries is recognised based on transaction price which is at arm's length.

Contract fulfilment costs are generally expensed as incurred except for certain software licence costs which meet the criteria for capitalisation. Such costs are amortised over the contractual period or useful life of licence, whichever is less. The assessment of this criteria requires the application of judgement, in particular when considering if costs generate or enhance resources to be used to satisfy future performance obligations and whether costs are expected to be recovered.

Contract assets are recognised when revenues earned exceed billings on contracts. Contract assets are classified as unbilled receivables (only act of invoicing is pending) when there is unconditional right to receive cash, and only passage of time is required, as per contractual terms.

Unearned and deferred revenue ("contract liability") is recognised when billings exceed the revenue recognised.

The billing schedules agreed with customers include periodic performance based payments and / or milestone based progress payments. Invoices are payable within contractually agreed credit period.

In accordance with Ind AS 37, the Company recognises an onerous contract provision when the unavoidable costs of meeting the obligations under a contract exceed the economic benefits to be received.

Contracts are subject to modification to account for changes in contract specification and requirements. The Company reviews modification to contract in conjunction with the original contract, basis which the transaction price could be allocated to a new performance obligation, or transaction price of an existing obligation could undergo a change. In the event transaction price is revised for existing obligation, a cumulative adjustment is accounted for.

The Company disaggregates revenue from contracts with customers by nature of services, industry verticals and geography.

Revenue disaggregation by nature of services is as follows:

	(₹ crore)	
	Three months ended June 30, 2026	Three months ended June 30, 2025
Consultancy services	58,405	52,251
Sale of equipment and software licences	1,148	537
	59,553	52,788

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Revenue disaggregation by industry vertical is as follows:

	(₹ crore)	
	Three months ended June 30, 2026	Three months ended June 30, 2025
Banking, Financial Services and Insurance	22,002	19,410
Manufacturing	5,568	5,059
Consumer Business	9,559	8,795
Communication, Media and Technology	9,277	8,335
Life Sciences and Healthcare	6,581	5,744
Others	6,566	5,445
	59,553	52,788

Revenue disaggregation by geography is as follows:

	(₹ crore)	
	Three months ended June 30, 2026	Three months ended June 30, 2025
Americas (1)	32,233	29,020
Europe (2)	17,361	15,592
India	4,340	3,499
Others	5,619	4,677
	59,553	52,788

Geographical revenue is allocated based on the location of the customers.

(1) includes revenue in the United States of America of ₹30,991 crore and ₹27,859 crore for three months ended June 30, 2026 and 2025, respectively.

(2) includes revenue in the United Kingdom of ₹10,854 crore and ₹9,983 crore for three months ended June 30, 2026 and 2025, respectively.

Information about major customers

No single customer represents 10% or more of the Company's total revenue during three months ended June 30, 2026 and 2025, respectively.

While disclosing the aggregate amount of transaction price yet to be recognised as revenue towards unsatisfied (or partially satisfied) performance obligations, along with the broad time band for the expected time to recognise those revenues, the Company has applied the practical expedient in Ind AS 115. Accordingly, the Company has not disclosed the aggregate transaction price allocated to unsatisfied (or partially satisfied) performance obligations which pertain to contracts where revenue recognised corresponds to the value transferred to customer typically involving time and material, outcome based and event based contracts.

Unsatisfied (or partially satisfied) performance obligations are subject to variability due to several factors such as terminations, changes in scope of contracts, periodic revalidations of the estimates, economic factors (changes in currency rates, tax laws etc). The aggregate value of transaction price allocated to unsatisfied (or partially satisfied) performance obligations is ₹1,73,070 crore out of which 44.77% is expected to be recognised as revenue in the next year and the balance thereafter. No consideration from contracts with customers is excluded from the amount mentioned above.

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Notes forming part of standalone interim financial statements

Changes in contract assets are as follows:

	(₹ crore)	
	Three months ended June 30, 2026	Year ended March 31, 2026
Balance at the beginning of the period	6,561	5,522
Invoices raised that were included in the contract assets balance at the beginning of the period	(3,040)	(4,112)
Increase due to revenue recognised during the period, excluding amounts billed during the period	3,684	4,684
Translation exchange difference	5	467
Balance at the end of the period	7,210	6,561

Changes in unearned and deferred revenue are as follows:

	(₹ crore)	
	Three months ended June 30, 2026	Year ended March 31, 2026
Balance at the beginning of the period	4,268	3,866
Revenue recognised that was included in the contract liability balance at the beginning of the period	(2,423)	(3,603)
Increase due to invoicing during the period, excluding amounts recognised as revenue during the period	2,242	3,848
Translation exchange difference	(19)	157
Balance at the end of the period	4,068	4,268

Reconciliation of revenue recognised with the contracted price is as follows:

	(₹ crore)	
	Three months ended June 30, 2026	Three months ended June 30, 2025
Contracted price	60,707	53,679
Reductions towards variable consideration components	(1,154)	(891)
Revenue recognised	59,553	52,788

The reduction towards variable consideration comprises of volume discounts, service level credits, etc.

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10) Other income

Dividend income is recorded when the right to receive payment is established. Interest income is recognised using the effective interest method.

Other income consists of the following:

	(₹ crore)	
	Three months ended June 30, 2026	Three months ended June 30, 2025
Interest income	669	1,315
Dividend from subsidiaries	1,968	1,121
Net gain on disposal / fair valuation of investments carried at fair value through profit or loss	78	82
Net gain on sale of investments other than equity shares carried at fair value through OCI	54	36
Net gain on disposal of property, plant and equipment	8	7
Net gain on lease modification	-	2
Net gain on sub-lease	2	-
Net foreign exchange gain	606	122
Rent income	7	7
Other income	14	11
	3,406	2,703

Interest income comprise:

Interest on bank balances and bank deposits	89	101
Interest on financial assets carried at amortised cost	107	33
Interest on financial assets carried at fair value through OCI	468	505
Other interest (including interest on tax refunds)	5	676

11) Employee benefits

Defined benefit plans

For defined benefit plans, the cost of providing benefits is determined using the Projected Unit Credit Method, with actuarial valuations being carried out at each balance sheet date. Remeasurement, comprising actuarial gains and losses, the effect of the changes to the asset ceiling and the return on plan assets (excluding interest), is reflected immediately in the balance sheet with a charge or credit recognised in other comprehensive income in the period in which they occur. Past service cost, both vested and unvested, is recognised as an expense at the earlier of (a) when the plan amendment or curtailment occurs; and (b) when the entity recognises related restructuring costs or termination benefits.

The retirement benefit obligations recognised in the balance sheet represents the present value of the defined benefit obligations reduced by the fair value of scheme assets. Any asset resulting from this calculation is limited to the present value of available refunds and reductions in future contributions to the scheme.

The Company provides benefits such as gratuity, pension and provident fund (Company managed fund) to its employees which are treated as defined benefit plans.

Defined contribution plans

Contributions to defined contribution plans are recognised as expense when employees have rendered services entitling them to such benefits.

The Company provides benefits such as superannuation and foreign defined contribution plans to its employees which are treated as defined contribution plans.

Short-term employee benefits

All employee benefits payable wholly within twelve months of rendering the service are classified as short-term employee benefits. Benefits such as salaries, wages etc. and the expected cost of ex-gratia are recognised in the period in which the employee renders the related service. A liability is recognised for the amount expected to be paid when there is a present legal or constructive obligation to pay this amount as a result of past service provided by the employee and the obligation can be estimated reliably.

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Compensated absences

Compensated absences which are expected to occur within twelve months after the end of the period in which the employee renders the related services are recognised as undiscounted liability at the balance sheet date. Compensated absences which are not expected to occur within twelve months after the end of the period in which the employee renders the related services are recognised as an actuarially determined liability at the present value of the defined benefit obligations at the balance sheet date using the Projected Unit Credit Method. Employee benefit expenses consist of the following:

	(₹ crore)	
	Three months ended June 30, 2026	Three months ended June 30, 2025
Salaries, incentives and allowances	26,970	24,765
Contributions to provident and other funds	2,215	2,013
Staff welfare expenses	873	862
	30,058	27,640

Employee benefit obligations consist of the following:

Employee benefit obligations – Non-current

	(₹ crore)	
	As at June 30, 2026	As at March 31, 2026
Foreign defined benefit plans	44	45
Other employee benefit obligations	163	155
	207	200

Employee benefit obligations – Current

	(₹ crore)	
	As at June 30, 2026	As at March 31, 2026
Gratuity liability	46	-
Compensated absences	4,202	4,098
Other employee benefit obligations	70	46
	4,318	4,144

Employee benefit plans consist of the following:

Gratuity and pension

In accordance with Indian law, the Company operates a scheme of gratuity which is a defined benefit plan. The gratuity plan provides for a lump sum payment to vested employees at retirement, death while in employment or on termination of employment in accordance with the provisions under the Code on Social Security, 2020 or as per the Company Scheme, as applicable. Vesting occurs upon completion of contractual period of continuous years of service as defined in the Code on Social Security, 2020. The Company manages the plan through a trust. Trustees administer contributions made to the trust. Certain overseas branches of the Company also provide for retirement benefit pension plans in accordance with the local laws.

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The following table sets out the details of the defined benefit retirement plans and the amounts recognised in the financial statements:

	(₹ crore)							
	Three months ended June 30, 2026				Year ended March 31, 2026			
	Domestic plans funded	Foreign plans funded	Foreign plans unfunded	Total	Domestic plans funded	Foreign plans funded	Foreign plans unfunded	Total
Change in benefit obligations								
Benefit obligations, beginning of the period	7,823	1	45	7,869	6,153	1	34	6,188
Translation exchange difference	-	-	-	-	-	-	4	4
Changes due to inter-company transfers	-	-	-	-	3	-	-	3
Service cost	186	-	2	188	634	-	6	640
Interest cost	142	-	-	142	437	-	3	440
Remeasurement of the defined benefit obligations	387	-	-	387	(466)	-	6	(460)
Past service cost	-	-	-	-	1,707	-	-	1,707
Benefits paid	(138)	-	(3)	(141)	(645)	-	(8)	(653)
Benefit obligations, end of the period	8,400	1	44	8,445	7,823	1	45	7,869

	(₹ crore)							
	Three months ended June 30, 2026				Year ended March 31, 2026			
	Domestic plans funded	Foreign plans funded	Foreign plans unfunded	Total	Domestic plans funded	Foreign plans funded	Foreign plans unfunded	Total
Change in plan assets								
Fair value of plan assets, beginning of the period	8,035	1	-	8,036	7,881	1	-	7,882
Changes due to inter-company transfers	-	-	-	-	3	-	-	3
Interest income	146	-	-	146	519	-	-	519
Employers' contributions	139	-	-	139	463	-	-	463
Benefits paid	(138)	-	-	(138)	(645)	-	-	(645)
Remeasurement - return on plan assets excluding amount included in interest income	172	-	-	172	(186)	-	-	(186)
Fair value of plan assets, end of the period	8,354	1	-	8,355	8,035	1	-	8,036

	(₹ crore)							
	As at June 30, 2026				As at March 31, 2026			
	Domestic plans funded	Foreign plans funded	Foreign plans unfunded	Total	Domestic plans funded	Foreign plans funded	Foreign plans unfunded	Total
Funded status								
Deficit of plan assets over obligations	(46)	-	(44)	(90)	-	-	(45)	(45)
Surplus of plan assets over obligations	-	-	-	-	212	-	-	212
	(46)	-	(44)	(90)	212	-	(45)	167

	(₹ crore)							
	As at June 30, 2026				As at March 31, 2026			
	Domestic plans funded	Foreign plans funded	Foreign plans unfunded	Total	Domestic plans funded	Foreign plans funded	Foreign plans unfunded	Total
Category of assets								
Corporate bonds	2,170	-	-	2,170	2,159	-	-	2,159
Equity instruments	381	-	-	381	335	-	-	335
Government bonds and securities	3,592	-	-	3,592	3,372	-	-	3,372
Insurer managed funds	2,054	1	-	2,055	2,015	1	-	2,016
Bank balances	2	-	-	2	10	-	-	10
Others	155	-	-	155	144	-	-	144
	8,354	1	-	8,355	8,035	1	-	8,036

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Net periodic gratuity cost, included in employee cost consists of the following components:

	(₹ crore)							
	Three months ended June 30, 2026				Year ended March 31, 2026			
	Domestic plans funded	Foreign plans funded	Foreign plans unfunded	Total	Domestic plans funded	Foreign plans funded	Foreign plans unfunded	Total
Service cost	186	-	2	188	634	-	6	640
Net interest on defined benefit (assets) / obligations	(4)	-	-	(4)	(82)	-	3	(79)
Past service cost	-	-	-	-	1,707	-	-	1,707
Net periodic gratuity cost	182	-	2	184	2,259	-	9	2,268
Return on plan assets	318	-	-	318	333	-	-	333

Remeasurement of the net defined benefit (assets) / obligations:

	(₹ crore)			
	Three months ended June 30, 2026			
	Domestic plans funded	Foreign plans funded	Foreign plans unfunded	Total
Actuarial (gains) / losses arising from changes in demographic assumptions	-	-	-	-
Actuarial (gains) / losses arising from changes in financial assumptions	222	-	-	222
Actuarial (gains) / losses arising from changes in experience adjustments	165	-	-	165
Remeasurement of the defined benefit obligations	387	-	-	387
Remeasurement - return on plan assets excluding amount included in interest income	(172)	-	-	(172)
	215	-	-	215

	(₹ crore)			
	Year ended March 31, 2026			
	Domestic plans funded	Foreign plans funded	Foreign plans unfunded	Total
Actuarial (gains) / losses arising from changes in demographic assumptions	(29)	-	-	(29)
Actuarial (gains) / losses arising from changes in financial assumptions	(367)	-	-	(367)
Actuarial (gains) / losses arising from changes in experience adjustments	(70)	-	6	(64)
Remeasurement of the defined benefit obligations	(466)	-	6	(460)
Remeasurement - return on plan assets excluding amount included in interest income	186	-	-	186
	(280)	-	6	(274)

The significant assumptions used in accounting for the defined benefit plan are set out below:

	As at June 30, 2026		As at March 31, 2026	
	Domestic plans	Foreign plans	Domestic plans	Foreign plans
Discount rate	6.75%	3.85%-4.30%	7.25%	3.85%-4.30%
Rate of increase in compensation levels of covered employees	6.00%	2.60%-3.29%	6.00%	2.60%-3.29%
Rate of return on plan assets	6.75%	3.85%-4.30%	7.25%	3.85%-4.30%
Weighted average duration of defined benefit obligations	6 Years	3-5 Years	6 Years	3-5 Years

Future mortality assumptions are taken based on the published statistics by the Insurance Regulatory and Development Authority of India.

The expected benefits are based on the same assumptions as are used to measure the Company's defined benefit plan obligations as at June 30, 2026.

The significant actuarial assumptions for the determination of the defined benefit obligations are discount rate and expected salary increase. The sensitivity analysis below has been determined based on reasonably possible changes of the respective assumptions occurring at the end of the reporting period, while holding all other assumptions constant.

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If the discount rate increases / decreases by 0.50%, the defined benefit obligations would increase / (decrease) as follows:

	(₹ crore)	
	As at June 30, 2026	As at March 31, 2026
Increase of 0.50%	(222)	(207)
Decrease of 0.50%	236	219

If the expected salary growth increases / decreases by 0.50%, the defined benefit obligations would increase / (decrease) as follows:

	(₹ crore)	
	As at June 30, 2026	As at March 31, 2026
Increase of 0.50%	219	204
Decrease of 0.50%	(212)	(197)

The sensitivity analysis presented above may not be representative of the actual change in the defined benefit obligations as it is unlikely that the change in assumptions would occur in isolation of one another as some of the assumptions may be correlated.

Furthermore, in presenting the above sensitivity analysis, the present value of the defined benefit obligations has been calculated using the Projected Unit Credit Method at the end of the reporting period, which is the same as that applied in calculating the defined benefit obligations recognised in the balance sheet.

Each year an Asset - Liability matching study is performed in which the consequences of the strategic investment policies are analysed in terms of risk and return profiles. Investment and contribution policies are integrated within this study.

The defined benefit obligations shall mature after the period ended June 30, 2026 as follows:

	(₹ crore)
Period ending June 30,	Defined benefit obligations
2027	1,254
2028	1,043
2029	931
2030	883
2031	829
2032-2036	3,431

Provident fund

In accordance with Indian law, all eligible employees of the Company in India are entitled to receive benefits under the provident fund plan in which both the employee and employer (at a determined rate) contribute monthly to a trust set up by the Company to manage the investments and distribute the amounts entitled to employees. This plan is a defined benefit plan as the Company is obligated to provide its members a rate of return which should, at the minimum, meet the interest rate declared by Government administered provident fund. A part of the Company's contribution is transferred to the Government administered pension fund. The contributions made by the Company and the shortfall of interest, if any, are recognised as an expense in statement of profit and loss under employee benefit expenses. As per the latest actuarial valuation report of provident fund liabilities on the basis of guidance issued by Actuarial Society of India under the deterministic approach, there is no deficiency in the interest cost as the present value of the expected future earnings of the fund is greater than the expected amount to be credited to the individual members based on the expected guaranteed rate of interest of Government administered provident fund. The principal assumptions used in the latest valuation report for determining the present value obligations of interest guarantee are discount rate: 7.25%, average remaining tenure of investment portfolio: 6 years and guaranteed rate of return: 8.25%.

The Company expensed ₹437 crore and ₹421 crore for three months ended June 30, 2026 and 2025, respectively, towards provident fund.

Superannuation

All eligible employees on Indian payroll are entitled to benefits under Superannuation, a defined contribution plan. The Company makes monthly contributions until retirement or resignation of the employee. The Company recognises such contributions as an expense when incurred. The Company has no further obligation beyond its monthly contribution.

The Company expensed ₹66 crore and ₹71 crore for three months ended June 30, 2026 and 2025, respectively, towards Employees' Superannuation Fund.

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Foreign defined contribution plan

The Company expensed ₹447 crore and ₹385 crore for three months ended June 30, 2026 and 2025, respectively, towards foreign defined contribution plans.

12) Cost recognition

Costs and expenses are recognised when incurred and have been classified according to their nature.

The costs of the Company are broadly categorised in employee benefit expenses, cost of equipment and software licences, depreciation and amortisation expense and other expenses. Other expenses mainly include fees to external consultants, facility expenses, travel expenses, communication expenses, bad debts and advances written off, allowance for expected credit losses and doubtful advances (net) and other expenses. Other expenses are aggregation of costs which are individually not material such as commission and brokerage, recruitment and training, entertainment, etc.

(a) Cost of equipment and software licences

Cost of equipment and software licences consist of the following:

	(₹ crore)	
	Three months ended June 30, 2026	Three months ended June 30, 2025
Raw materials, sub-assemblies and components consumed	12	8
Equipment and software licences purchased	1,082	616
	1,094	624
Finished goods and work-in-progress		
Opening stock	3	1
Less: Closing stock	2	2
	1	(1)
	1,095	623

(b) Other expenses

Other expenses consist of the following:

	(₹ crore)	
	Three months ended June 30, 2026	Three months ended June 30, 2025
Fees to external consultants	6,572	5,110
Facility expenses	791	739
Travel expenses	687	662
Communication expenses	505	403
Bad debts and advances written off, allowance for expected credit losses and doubtful advances (net)	74	36
Other expenses	3,638	2,818
	12,267	9,768

Other expenses include ₹1,672 crore and ₹1,237 crore for three months ended June 30, 2026 and 2025, respectively, towards sales, marketing and advertisement expenses and ₹946 crore and ₹772 crore for three months ended June 30, 2026 and 2025, respectively, towards project expenses.

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13) Finance costs

Finance costs consist of the following:

	(₹ crore)	
	Three months ended June 30, 2026	Three months ended June 30, 2025
Interest on lease liabilities	174	143
Interest on tax matters	1	3
Other interest costs	72	25
	247	171

14) Income taxes

Income tax expense comprises current tax expense and the net change in the deferred tax asset or liability during the year. Current and deferred taxes are recognised in statement of profit and loss, except when they relate to items that are recognised in other comprehensive income or directly in equity, in which case, the current and deferred tax are also recognised in other comprehensive income or directly in equity, respectively.

Current income taxes

The current income tax expense includes income taxes payable by the Company in India and in its branches in overseas where it operates.

The Company has recognised income tax expenses applying the provisions under section 200 of the Income-tax Act, 2025.

Current income tax payable by overseas branches of the Company is computed in accordance with the tax laws applicable in the jurisdiction in which the respective branch operates. The taxes paid are generally available for set off against the Indian income tax liability of the Company's worldwide income.

Management periodically evaluates positions taken in the tax returns with respect to situations in which applicable tax regulations are subject to interpretation and establishes provisions where appropriate.

Advance taxes and provisions for current income taxes are presented in the balance sheet after off-setting advance tax paid and income tax provision arising in the same tax jurisdiction and where the relevant tax paying unit intends to settle the asset and liability on a net basis.

The Organisation for Economic Co-operation and Development (OECD) has published the model rules for global minimum tax (Pillar Two model rules). As per the provisions of Pillar Two legislation, the Company's ultimate parent entity (UPE) has consolidated revenues exceeding the threshold prescribed under the OECD framework. Pillar Two legislation has been enacted, or substantively enacted, in certain jurisdictions where the Company operates. Based on the current assessment, the Company does not expect a material financial impact from the application of the Pillar Two rules. The evaluation of the potential exposure is based on the most recent country-by-country reporting, and financial statements for the constituent entities in the Company. In accordance with Amendments to Ind AS 12, the Company has applied temporary mandatory relief from accounting for deferred tax that arises from implementing Pillar Two legislation.

Deferred income taxes

Deferred income tax is recognised using the balance sheet approach. Deferred income tax assets and liabilities are recognised for deductible and taxable temporary differences arising between the tax base of assets and liabilities and their carrying amount, except when the deferred income tax arises from the initial recognition of an asset or liability in a transaction that is not a business combination, affects neither accounting nor taxable profit or loss at the time of the transaction.

Deferred income tax assets are recognised to the extent that it is probable that taxable profit will be available against which the deductible temporary differences and the carry forward of unused tax credits and unused tax losses can be utilised.

The carrying amount of deferred income tax assets is reviewed at each reporting date and reduced to the extent that it is no longer probable that sufficient taxable profit will be available to allow all or part of the deferred income tax asset to be utilised.

Deferred tax assets and liabilities are measured using substantively enacted tax rates expected to apply to taxable income in the years in which the temporary differences are expected to be received or settled.

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Deferred tax assets and liabilities are offset when they relate to income taxes levied by the same taxation authority and the relevant entity intends to settle its current tax assets and liabilities on a net basis.

The income tax expense consists of the following:

	(₹ crore)	
	Three months ended June 30, 2026	Three months ended June 30, 2025
Current tax		
Current tax expense for current period	4,451	4,138
Current tax benefit pertaining to prior periods	(352)	(478)
	4,099	3,660
Deferred tax		
Deferred tax benefit for current period	(32)	(26)
	(32)	(26)
	4,067	3,634

The reconciliation of estimated income tax expense at Indian statutory income tax rate to income tax expense reported in standalone interim statement of profit and loss is as follows:

	(₹ crore)	
	Three months ended June 30, 2026	Three months ended June 30, 2025
Profit before taxes	17,709	16,186
Indian statutory income tax rate	25.17%	25.17%
Expected income tax expense	4,457	4,073
Tax effect of adjustments to reconcile expected income tax expense to reported income tax expense		
Income exempt from tax	(495)	(282)
Undistributed earnings in branches	31	44
Tax on income at different rates	405	272
Tax pertaining to prior periods	(352)	(478)
Others (net)	21	5
Total income tax expense	4,067	3,634

Significant components of net deferred tax assets and liabilities for three months ended June 30, 2026 are as follows:

	(₹ crore)			
	Opening balance	Recognised in profit and loss	Recognised in / reclassified from other comprehensive income	Closing balance
Deferred tax assets / (liabilities) in relation to				
Property, plant and equipment and intangible assets	1,267	38	-	1,305
Provision for employee benefit obligations	1,092	(6)	-	1,086
Cash flow hedges	8	-	(18)	(10)
Receivables, financial assets at amortised cost	447	6	-	453
Branch profit tax	(233)	(32)	-	(265)
Unrealised gain on securities carried at fair value through profit or loss / other comprehensive income	1	-	(135)	(134)
Lease liabilities and right-of-use assets	206	4	-	210
Others	406	22	-	428
	3,194	32	(153)	3,073

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Gross deferred tax assets and liabilities are as follows:

As at June 30, 2026	(₹ crore)		
	Assets	Liabilities	Net
Deferred tax assets / (liabilities) in relation to			
Property, plant and equipment and Intangible assets	1,326	21	1,305
Provision for employee benefit obligations	1,086	-	1,086
Cash flow hedges	(10)	-	(10)
Receivables, financial assets at amortised cost	453	-	453
Branch profit tax	-	265	(265)
Unrealised gain on securities carried at fair value through profit or loss / other comprehensive income	(134)	-	(134)
Lease liabilities	2,019	-	2,019
Right-of-use assets	(1,809)	-	(1,809)
Others	429	1	428
	3,360	287	3,073

Significant components of net deferred tax assets and liabilities for the year ended March 31, 2026 are as follows:

	(₹ crore)			
	Opening balance	Recognised in profit and loss	Recognised in / reclassified from other comprehensive income	Closing balance
Deferred tax assets / (liabilities) in relation to				
Property, plant and equipment and intangible assets	989	278	-	1,267
Provision for employee benefit obligations	939	153	-	1,092
Cash flow hedges	6	-	2	8
Receivables, financial assets at amortised cost	419	28	-	447
Branch profit tax	(166)	(67)	-	(233)
Unrealised gain on securities carried at fair value through profit or loss / other comprehensive income	(267)	-	268	1
Lease liabilities and right-of-use assets	210	(4)	-	206
Others	326	80	-	406
	2,456	468	270	3,194

Gross deferred tax assets and liabilities are as follows:

As at March 31, 2026	(₹ crore)		
	Assets	Liabilities	Net
Deferred tax assets / (liabilities) in relation to			
Property, plant and equipment and Intangible assets	1,291	24	1,267
Provision for employee benefit obligations	1,092	-	1,092
Cash flow hedges	8	-	8
Receivables, financial assets at amortised cost	447	-	447
Branch profit tax	-	233	(233)
Unrealised gain on securities carried at fair value through profit or loss / other comprehensive income	1	-	1
Lease liabilities	2,020	-	2,020
Right-of-use assets	(1,814)	-	(1,814)
Others	407	1	406
	3,452	258	3,194

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Direct tax contingencies

The Company has ongoing disputes with income tax authorities in India and in some of the other jurisdictions where it operates. The disputes relate to tax treatment of certain expenses claimed as deduction, computation or eligibility of tax incentives and allowances and characterisation of fees for services received. Contingent liability in respect of tax demands received from direct tax authorities in India and other jurisdictions is ₹506 crore and ₹506 crore as at June 30, 2026 and March 31, 2026, respectively. These demand orders are being contested by the Company based on the management evaluation and advice of tax consultants. In respect of tax contingencies of ₹318 crore and ₹318 crore as at June 30, 2026 and March 31, 2026, respectively, not included above, the Company is entitled to an indemnification from the seller of TCS e-Serve Limited.

The Company periodically receives notices and inquiries from income tax authorities related to the Company's operations in the jurisdictions it operates in. The Company has evaluated these notices and inquiries and has concluded that any consequent income tax claims or demands by the income tax authorities will not succeed on ultimate resolution.

The number of years that are subject to tax assessments varies depending on tax jurisdiction. The major tax jurisdictions of Tata Consultancy Services Limited include India, United States of America and United Kingdom. In India, tax filings from fiscal 2024 are generally subject to examination by the tax authorities. In United States of America, the federal statute of limitation applies to fiscals 2022 and earlier and applicable state statutes of limitation vary by state. In United Kingdom, the statute of limitation generally applies to fiscal 2021 and earlier.

15) Earnings per share

Basic earnings per share is computed by dividing profit or loss attributable to equity shareholders of the Company by the weighted average number of equity shares outstanding during the period. The Company did not have any potentially dilutive securities in any of the periods presented.

	Three months ended June 30, 2026	Three months ended June 30, 2025
Profit for the period (₹ crore)	13,642	12,552
Weighted average number of equity shares	361,80,87,518	361,80,87,518
Basic and diluted earnings per share (₹)	37.70	34.69
Face value per equity share (₹)	1	1

16) Segment information

The Company publishes the standalone interim financial statements of the Company along with the consolidated interim financial statements. In accordance with Ind AS 108 - Operating Segments, the Company has disclosed the segment information in the consolidated interim financial statements.

17) Commitments and contingencies

Capital commitments

The Company has contractually committed (net of advances) ₹2,577 crore and ₹2,532 crore as at June 30, 2026 and March 31, 2026, respectively, for purchase of property, plant and equipment.

Contingencies

• **Direct tax matters**

Refer note 14.

• **Indirect tax matters**

The Company has ongoing disputes with tax authorities mainly relating to treatment of characterisation and classification of certain items. The Company has demands amounting to ₹643 crore and ₹646 crore as at June 30, 2026 and March 31, 2026, respectively, from various indirect tax authorities which are being contested by the Company based on the management evaluation and advice of tax consultants.

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Notes forming part of standalone interim financial statements

- **Other claims**

- Claims aggregating ₹136 crore and ₹119 crore as at June 30, 2026 and March 31, 2026, respectively, against the Company have not been acknowledged as debts.
- In April 2019, Computer Sciences Corporation (referred to as CSC) filed a legal claim against the Company in the Court of Northern District of Texas and Dallas Division (trial court) alleging misappropriation of trade secrets and other CSC's confidential information and sought preliminary and permanent injunctive relief, and unspecified monetary damages and disgorgement of profits.

A trial before an advisory jury was held and on November 17, 2023, the jury returned an advisory verdict in favour of CSC, finding that the Company misappropriated CSC's trade secrets and recommended compensation of US \$70 million and a further punitive damage of US \$140 million to be paid by the Company to CSC. Subsequently, the parties filed their respective written submissions in the matter. On June 13, 2024, the trial court passed a judgement as follows:

1. The Court ordered that the Company is liable to CSC for US \$56 million in compensatory damages and US \$112 million in exemplary damages.
2. The Court also assessed that the Company is liable for US \$26 million in prejudgment interest through June 13, 2024.

Pursuant to US Court procedures, a Letter of Credit was made available to CSC for US \$250 million as financial security in order to stay execution of the judgement pending appeal proceedings and conclusion.

On November 21, 2025, the Fifth Circuit issued a decision affirming the District Court's rulings on liability and further awarded costs to CSC.

On March 19, 2026, a petition for a writ of certiorari from the US Supreme Court was filed, seeking a review of the case. On June 15, 2026, the Supreme Court denied the petition. Pursuant to this denial, on June 22, 2026, CSC encashed US \$213 million (₹2,014 crore) towards compensatory damages of US \$56 million (₹530 crore), exemplary damages of US \$112 million (₹1,059 crore) and interest of US \$45 million (₹425 crore).

The Company had provided US \$150 million (₹1,352 crore) towards this legal claim in the standalone statement of profit and loss for the year ended March 31, 2026 and disclosed US \$112 million (₹1,010 crore) as "Provision towards legal claim" under "Exceptional items" and US \$38 million (₹342 crore) under "Other interest costs". Pursuant to the denial of the Company's petition by the Supreme Court, the Company has provided for a further amount of US \$70 million (₹668 crore) towards exemplary damages and costs awarded to CSC, in the standalone statement of profit and loss for period ended June 30, 2026, and disclosed as "Settlement of legal claim" under Exceptional items. In addition, the Company has provided for US \$7 Million (₹69 crore) towards interest paid until the date of settlement and disclosed it under "Other interest costs".

- **Guarantees and letter of comfort**

The Company has given letter of comfort to banks for credit facilities availed by its subsidiaries. As per the terms of letter of comfort, the Company undertakes not to divest its ownership interest directly or indirectly in the subsidiary and provide such managerial, technical and financial assistance to ensure continued successful operations of the subsidiary.

The Company has provided guarantees to third parties on behalf of its subsidiaries. The Company does not expect any outflow of resources in respect of the above.

The amounts assessed as contingent liability do not include interest that could be claimed by counter parties.

TATA CONSULTANCY SERVICES LIMITED
Notes forming part of standalone interim financial statements

18) Related party transactions

The Company's principal related parties consist of its holding company Tata Sons Private Limited and its subsidiaries, its own subsidiaries, affiliates and key managerial personnel. The Company's material related party transactions and outstanding balances are with related parties with whom the Company routinely enters into transactions in the ordinary course of business.

List of subsidiaries of the Company as at June 30, 2026 is as follows:

Indian

APTOnline Limited

C-Edge Technologies Limited

MP Online Limited

TCS e-Serve International Limited

MahaOnline Limited

TCS Foundation

TRIL Bengaluru Real Estate Five Limited

TRIL Bengaluru Real Estate Six Limited

HyperVault AI Data Center Limited

TATA CONSULTANCY SERVICES LIMITED
Notes forming part of standalone interim financial statements

Foreign

Tata America International Corporation
Tata Consultancy Services Canada Inc.
ListEngage Midco, LLC
ListEngage, LLC
TCS North America Corporation
Coastal Cloud Holdings, LLC
CC StructureCo, LLC
Coastal Cloud Intermediate, LLC
Coastal Cloud, LLC
Coastal Cloud Canada Corp.
Coastal Cloud NA LLC
Tata Consultancy Services Argentina S.A.
Tata Consultancy Services Chile S.A.
Tata Consultancy Services De Mexico, S.A. De C.V.
Tata Consultancy Services Do Brasil Ltda.
TCS Iberoamerica S.A.
TCS Inversiones Chile Limitada
Tatasolution Center S.A.
MGDC S.C.
TCS Uruguay S.A.
Tata Consultancy Services Guatemala, S.A.
3-101-951221 S.A.
Tata Consultancy Services Belgium
Tata Consultancy Services De Espana S.A.
Tata Consultancy Services Deutschland GmbH
Tata Consultancy Services Italia S.R.L.
Tata Consultancy Services Netherlands B.V.
Tata Consultancy Services Maroc SARL AU
Tata Consultancy Services Regional Headquarters
Tata Consultancy Services Sverige Aktiebolag
Tata Consultancy Services (Portugal), Unipessoal Lda
Diligenta Limited
Tata Consultancy Services Luxembourg S.A.
Tata Consultancy Services Switzerland Ltd
Tata Consultancy Services France
Tata Consultancy Services Saudi Arabia
Tata Consultancy Services UK Limited
TCS Business Services GmbH
Tata Consultancy Services Bulgaria EOOD
Tata Consultancy Services Ireland Limited
TCS Technology Solutions GmbH
Tata Consultancy Services Osterreich GmbH
Diligenta (Europe) B.V.
Tata Consultancy Services Asia Pacific Pte. Ltd.
Tata Consultancy Services Malaysia Sdn. Bhd.
TCS FNS Pty Limited
TCS Financial Solutions Australia Pty Ltd
Tata Consultancy Services Indonesia, PT
Tata Consultancy Services (China) Co., Ltd.
Tata Consultancy Services (Thailand) Limited
Tata Consultancy Services (Philippines) Inc.
Tata Consultancy Services Japan, Ltd.
Tata Consultancy Services BT Private Limited
Tata Consultancy Services (Africa) (Proprietary) Limited
Tata Consultancy Services (South Africa) (Proprietary) Limited
Tata Consultancy Services Qatar

TATA CONSULTANCY SERVICES LIMITED
Notes forming part of standalone interim financial statements

Transactions with related parties are as follows:

	Three months ended June 30, 2026					(₹ crore)
	Tata Sons Private Limited	Subsidiaries of the Company	Subsidiaries of Tata Sons Private Limited	Associates / joint ventures of Tata Sons Private Limited and their subsidiaries	Other related parties	Total
Revenue from operations	22	8,140	603	1,367	-	10,132
Interest income	-	1	38	-	-	39
Dividend income	-	1,968	-	-	-	1,968
Rent income	-	12	-	-	-	12
Other income	-	11	-	-	-	11
Purchases of goods and services (including reimbursements)	-	5,345	162	70	-	5,577
Brand equity contribution	50	-	-	-	-	50
Facility expenses	-	17	2	19	-	38
Lease rental	-	-	14	15	-	29
Contribution and advance to post employment benefit plans	-	-	-	-	1,394	1,394
Procurement towards Property, plant and equipment	-	-	94	6	-	100
Loans and advances given	-	5	-	1	-	6
Loans and advances recovered	-	-	493	8	-	501
Dividend paid	8,046	-	3	-	-	8,049
Inter-corporate deposits placed	-	25	-	-	-	25
Cost recovery	-	1,178	-	-	-	1,178

						(₹ crore)
	Three months ended June 30, 2025					
	Tata Sons Private Limited	Subsidiaries of the Company	Subsidiaries of Tata Sons Private Limited	Associates / joint ventures of Tata Sons Private Limited and their subsidiaries	Other related parties	Total
Revenue from operations	24	7,439	539	1,429	-	9,431
Interest income	-	1	10	-	-	11
Dividend income	-	1,121	-	-	-	1,121
Rent income	-	9	-	-	-	9
Other income	-	7	-	-	-	7
Purchases of goods and services (including reimbursements)	1	4,461	234	67	-	4,763
Brand equity contribution	50	-	-	-	-	50
Facility expenses	-	15	27	19	-	61
Lease rental	-	-	12	15	-	27
Bad debts and advances written off, allowance for expected credit losses and doubtful advances (net)	1	-	6	-	-	7
Contribution and advance to post employment benefit plans	-	-	-	-	758	758
Procurement towards Property, plant and equipment	-	-	94	1	-	95
Loans and advances given	-	-	9	2	-	11
Loans and advances recovered	-	-	24	1	-	25
Advances taken	-	5	-	-	-	5
Dividend paid	7,786	-	3	1	-	7,790
Inter-corporate deposits placed	-	-	750	-	-	750
Cost recovery	-	1,032	-	-	-	1,032

TATA CONSULTANCY SERVICES LIMITED
Notes forming part of standalone interim financial statements

Balances receivable from related parties are as follows:

	As at June 30, 2026					(₹ crore)
	Tata Sons Private Limited	Subsidiaries of the Company	Subsidiaries of Tata Sons Private Limited	Associates / joint ventures of Tata Sons Private Limited and their subsidiaries	Other related parties	Total
Trade receivables and contract assets	16	10,013	334	1,239	-	11,602
Investments, loans, other financial assets and other assets	2	518	2,524	37	-	3,081
	18	10,531	2,858	1,276	-	14,683

	(₹ crore)					
	As at March 31, 2026					
	Tata Sons Private Limited	Subsidiaries of the Company	Subsidiaries of Tata Sons Private Limited	Associates / joint ventures of Tata Sons Private Limited and their subsidiaries	Other related parties	Total
Trade receivables and contract assets	8	8,260	261	1,347	-	9,876
Investments, loans, other financial assets and other assets	2	392	3,639	44	-	4,077
	10	8,652	3,900	1,391	-	13,953

Balances payable to related parties are as follows:

						(₹ crore)
	As at June 30, 2026					
	Tata Sons Private Limited	Subsidiaries of the Company	Subsidiaries of Tata Sons Private Limited	Associates / joint ventures of Tata Sons Private Limited and their subsidiaries	Other related parties	Total
Trade payables, unearned and deferred revenue, other financial liabilities and other liabilities	230	7,403	3,638	207	24	11,502
Commitments and guarantees	-	3,102	671	40	-	3,813

						(₹ crore)
	As at March 31, 2026					
	Tata Sons Private Limited	Subsidiaries of the Company	Subsidiaries of Tata Sons Private Limited	Associates / joint ventures of Tata Sons Private Limited and their subsidiaries	Other related parties	Total
Trade payables, unearned and deferred revenue, other financial liabilities and other liabilities	181	7,295	4,306	296	115	12,193
Commitments and guarantees	-	3,102	772	45	-	3,919

TATA CONSULTANCY SERVICES LIMITED
Notes forming part of standalone interim financial statements

Material related party transactions are as follows:

	(₹ crore)	
	Three months ended June 30, 2026	Three months ended June 30, 2025
Revenue from operations		
Tata Consultancy Services Deutschland GmbH	1,081	987
Tata Consultancy Services Netherlands B.V.	985	1,021
Tata Consultancy Services Canada Inc.	1,119	1,026
Jaguar Land Rover Limited	939	872
Tata Capital Limited	182	76
Purchases of goods and services (including reimbursements) and net of cost recovery		
Tata America International Corporation	1,260	1,048
Tata Consultancy Services De Mexico, S.A. De C.V.	961	896
Tata Consultancy Services Canada Inc.	740	577
Dividend income		
Tata America International Corporation	472	258
TCS Iberoamerica S.A.	135	217
Tata Consultancy Services Canada Inc.	550	253
Tata Consultancy Services Asia Pacific Pte. Ltd.	763	231
Advances recovered		
Tejas Networks Limited	455	-
Contribution and advance to post employment benefit plans		
Tata Consultancy Services Employees' Provident Fund	1,341	700
Inter-corporate deposits placed		
Tata Capital Housing Finance Limited	-	500
Tata Capital Limited	-	250

Material related party balances are as follows:

	(₹ crore)	
	As at June 30, 2026	As at March 31, 2026
Trade receivables and contract assets		
Tata America International Corporation	1,431	1,523
Tata Consultancy Services France	1,139	1,097
Tata Consultancy Services Netherlands B.V.	1,253	380
Tata Consultancy Services Canada Inc.	1,287	735
Jaguar Land Rover Limited	891	991
Investments, loans, other financial assets and other assets		
Tejas Networks Limited	880	1,335
Tata Capital Limited	1,044	1,534
Tata Capital Housing Finance Limited	500	527
Trade payables, unearned and deferred revenue, other financial liabilities and other liabilities		
Tata America International Corporation	1,199	1,962
Tata Consultancy Services Canada Inc.	1,830	1,566
Tejas Networks Limited	3,336	3,959
Commitments and guarantees		
Tata Projects Limited	601	700
Diligenta Limited	3,102	3,102

TATA CONSULTANCY SERVICES LIMITED
Notes forming part of standalone interim financial statements

Transactions with key management personnel are as follows:

	(₹ crore)	
	Three months ended June 30, 2026	Three months ended June 30, 2025
Short-term benefits	2	2
Dividend paid during the period	-*	-*
Post-employment benefits	1	-*
	3	2

*Represents value less than ₹0.50 crore.

The remuneration of directors and key executives is determined by the nomination and remuneration committee having regard to the performance of individuals and market trends.

19) Dividends

Dividends paid during the period ended June 30, 2026 include an amount of ₹31.00 per equity share towards final dividend for the year ended March 31, 2026. Dividends paid during the year ended March 31, 2026 include an amount of ₹30.00 per equity share towards final dividend for the year ended March 31, 2025 and an amount of ₹79.00 per equity share towards interim dividends (including special dividend) for the year ended March 31, 2026.

The Board of Directors at its meeting held on July 9, 2026, has declared an interim dividend of ₹12.00 per equity share.

As per our report of even date attached

For and on behalf of the Board

For **B S R & Co. LLP**
Chartered Accountants
 Firm's registration no: 101248W/W-100022

K Krithivasan
CEO and Managing Director
 DIN: 10106739

Aarthi Subramanian
Executive Director - President and COO
 DIN: 07121802

Aniruddha Godbole
Partner
 Membership No: 105149
 Mumbai, July 9, 2026

Samir Seksaria
CFO
 Mumbai, July 9, 2026

Yashaswin Sheth
Company Secretary